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Sovereign Default, Intervention and the Cost of Reputation*

A re-assessment of the intervention of financial institutions in the 1840s US sovereign default crisis

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**Including footnotes, figures and tables, excluding bibliography, abstract and table of contents.

Abstract

Sovereign and sub-sovereign debt, the resolution of default crises, and the focus on the reputation of financial intermediaries rather than the borrowers in early international securities markets are vibrant fields of research in economic and financial history. This paper engages with these issues by analysing an under-researched part of the 1840s US state default crisis: the intervention of international merchant banks, especially Baring Brothers and N. M. Rothschild as the biggest and most important firms. Using primary sources and previously not included correspondence from the Rothschild and Baring Archives in London, the Massachusetts Historical Society in Boston and the National Archives of Canada in Ottawa, as well as further digital archives, the analysis traces the different actions of Barings and Rothschilds and their respective agents Thomas Ward and August Belmont in the process of the default resolution. Although both firms leveraged their political and financial networks within Britain and the US, it is shown that Barings' actions and the financial commitment exceeded Rothschilds' involvement, especially in the crucial states of Pennsylvania and Maryland, although Barings was less invested in the defaulting states. This behaviour and the corresponding considerations during the crisis are in line with a model of reputational hierarchies of financial intermediaries in early international bond markets developed by Flandreau and Flores. Barings was highly associated with the United States and visible as financial intermediary through underwriting for state bonds, coupon management and the long-term financial agency of the federal administration. The empirical evidence from the archives supports the view derived from the model by Flandreau and Flores: For Barings, the defaults were a crisis of their reputation, for Rothschild it was a crisis of investment.

Keywords: Sovereign debt, default, reputational hierarchies, financial intermediaries, Barings, Rothschild

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I. Introduction

Time and again, sovereign debt and default crises have been a focal point of public interest and academic research in fields ranging from history, over politics to economics. However, especially the last decade – under the impression of the international financial and economic crisis, as well as the eurozone crisis – witnessed an extraordinary spike in publications and research projects on these issues.[1] In the wake of the various crises during these years, the historical analysis of past sovereign debt crises has gained large public interest, as observers turned towards historical predecessors in order to gain a better understanding of the present processes and events.[2] The "sovereign-debt puzzle" in this context represents one central question addressed by economists and economic historians: why do creditors ever lend to sovereigns, who normally cannot be forced to honour their debt obligations?[3] The "reputational" approach by Eaton and Gersovitz and the "direct sanctions" approach by Bulow and Rogoff are two popular answers to this puzzle, yet both explanations focus on the borrower rather than on the lender.[4]

However, further questions are inherently connected with the sovereign-debt puzzle. Recent research has focused on the issuing and sustainability of debt and financial policies in monetary unions or multi-level sovereign institutions like the United States or the EU.[5] One prominent historical case analysed within the academic discourse in this context is the case of the US state default crisis between 1839 and 1843.[6] The infamous crisis, during which 8 states and 1 territory from all over the United States defaulted on their debt obligations, has been analysed from various perspectives and with varying emphases over the last years.[7]

However, compared to the research on other sovereign debt crises, the recent academic work on the US state defaults appears to be limited in scope and extent. One particular aspect has been neglected from the academic focus: the actions of financial intermediaries – banks and

[1] See i.e. Michael Tomz and Mark Wright, 'Empirical Research on Sovereign Debt and Default', *Annual Review of Economics*, August 2013, pp. 247-272.
[2] See i.e. William English, 'Understanding the cost of sovereign default', *The American Economic Review*, 86/1 (1996), pp. 259-275; Ben Bernanke, 'The Macroeconomics of the Great Depression: a comparative approach', *Journal of Money, Credit and Banking,* 27/1 (1994) pp. 1-28.
[3] Tomz/Wright, *Empirical Research*, pp. 260-266.
[4] Johnathan Eaton and Mark Gersovitz, 'Debt with Potential Repudiation', *The Review of Economic Studies*, 48/2 (1981), pp. 289-309; Jeremy Bulow and Kenneth Rogoff, 'Sovereign Debt: Is to Forgive to Forget?', *American Economic Review*, 79/1 (1989), pp. 43-50.
[5] See i.e. Kevin O'Rourke and Alan Taylor, 'Cross of Euros', *Journal of Economic Perspectives*, 27/3 (2013), pp. 167-192.
[6] See i.e. Thomas J. Sargent, 'United States then Europe now', *Journal of Political Economy*, 120/1 (2012), pp. 1-40.
[7] See i.e. Richard Sylla, John Joseph Wallis and Arthur Grinath III., 'Sovereign Debt and Repudiation: The Emerging-Market Debt Crisis in the U.S. States, 1839-1843', *NBER Working Papers*, September 2004; Brian Beach, 'Do markets reward constitutional reform?', Working Paper, August 2017.

underwriters like the houses of Rothschild or Baring – undertaken during the crisis for the resolution and settlement of international debt obligations. Yet the analysis of this involvement is critical to help with the understanding of the lenders' perspective in the resolution of sovereign debt crises. The main accounts here by McGrane and Sexton primarily target the implications of international financial institutions for foreign policy and diplomacy and fail to situate this case in a wider range of international debt and default crises in early securities' markets. Furthermore, they do not trace the actions of the intermediaries focused on their most valuable asset as an explanatory factor: their reputation.[8]

This dissertation will shed light on exactly these issues. First, the actions and influence financial intermediaries exercised to settle the outstanding debts with the defaulting US states will be examined. Then, using a recent theoretical model by Flandreau and Flores about reputational hierarchies in early international bond markets, these actions of the financial intermediaries will be linked to their reputation and their connection to the defaulters.[9] A wide variety of primary sources and archival research in the Baring Archive London, the Rothschild Archive London, the Massachusetts Historical Society in Boston and the National Archives of Canada in Ottawa, as well as further digitized archival material will lay the foundation for the analysis. This will show the significant involvement in the resolution of the crisis through official and unofficial channels of the two main international banking houses and their transnational network of finance agents. Both Barings and Rothschild considered and undertook substantial measures to push the US states toward resumption of their debt service and agitated strongly against the threat of repudiation of these sovereign debts. By using not previously analysed material in this context, such as the correspondence between August Belmont and Rothschild or the personal diaries of Thomas Ward, these points will be underlined.

Although both firms used official contacts to national governments and officials in Britain and the US, it was foremost the house of Barings with their American agent Thomas W. Ward that took up the initiative through the funding and coordination of a large-scale undercover campaign to promote the resumption of the debt service in especially the north-eastern states. Though it will be shown that the house of Rothschild and their agent August Belmont considered similar measures, they were more reluctant and, in the end, decided against this plan. Since Barings was a main underwriter of the US state bonds, their name was strongly connected

[8] Reginald McGrane, *Foreign Bondholders and American State debts*, (New York, 1935); Jay Sexton, *Debtor Diplomacy*, (Oxford, 2005), pp. 20-81.

[9] Marc Flandreau and Juan Flores, 'Bonds and Brands: Intermediaries' Reputation in Sovereign Debt Markets 1820-30', *CEPR Discussion Paper*, August 2007; Marc Flandreau and Juan Flores, 'Bonds and Brands: Foundations of Sovereign Debt Markets', *The Journal of Economic History*, 69/3 (2009), pp. 646-684.

to any bonds related to the United States. Furthermore, from the theoretical models' perspective, this behaviour makes sense, since Barings' reputation - or "brand" - as the second-tier intermediary in the international bond market signalled to investors the "honest efforts of the house in bringing defaulters back to the negotiation table".[10] Thus, this case substantiates the Flandreau/Flores model and resembles the actions and roles of the different banking houses in other 19th century defaults like Mexico in 1831 or Venezuela in 1847. By focusing on these aspects, this project directly relates to the existing literature on sovereign debt, default crises and their resolution, while analysing an under-researched part of the 1840s crisis and in the history of the two leading banking firms at the time.

To comprehensively illustrate this argument, the paper will first consider and discuss the sovereign debt literature and the model of reputational hierarchies by Flandreau and Flores in chapter II, before chapter III deals in depth with the historiography of the US state debt crisis of the 1840s, the debate about its causes and the settlement of the defaults after 1843, as well as the role of financial intermediaries in early international bond markets. Chapter IV and V will then trace the actions of the two main banking houses in the crisis, illustrating how they used some similar, but also several varying measures to influence the settlement of the outstanding debt. They will show how the theoretical model can be used to explain why certain players used precisely these actions and discuss the case in the context of other case studies and historical examples before chapter VI will summarize the findings of this study.

[10] Flandreau/Flores, *Reputation*, pp. 33-34.

II. Sovereign debt, reputation and financial intermediaries

Diverse answers have been given to the "sovereign-debt puzzle", why sovereigns who in most cases cannot be legally forced to honour their debts ever repay them. Bulow and Rogoff on the one hand stressed the importance of a form of "punishment", direct sanctions available to creditors in the form of higher costs or legal rights in the creditor-country courts that can be deployed in the case of non-payment and will deter potential new lenders.[11] On the other hand, Eaton and Gersovitz stressed the "reputational" theme in sovereign lending, emphasizing that sovereigns repay their debts to foreign creditors because they would otherwise get a reputation for defaulting and thus be cut off in future from international credit markets.[12] Cruces and Trebesch showed that higher haircuts with greater losses to creditors resulted in significantly higher bond yield spreads and longer periods of capital market exclusion, leading to the conclusion that "to forgive is not to forget".[13] Zettelmeyer and Sturzenegger emphasized here that in these haircuts domestic investors are not systematically better treated than foreign investors, an important implication as this paper deals with several US states entailing various degrees of international bondholder structures (see Table 2).[14]

"Reputation" and more broadly "trust", though concepts inherently elusive and hard to quantify, play a central role in the theoretical and practical analysis of transactions and financial markets.[15] This paper will not focus on the borrowers' reputation as an answer to the sovereign debt puzzle in early international bond markets, as in Eaton and Gersovitz for example, but on the financial intermediaries' reputation instead. Generally speaking, the "reputation" of a participant in any transaction can commonly be defined as the "amount of trust" other participants confer on them – thus "having a good reputation" means being a "trustworthy" partner in a transaction.[16] In the definition of Morrison, Wilhelm and Younger, this relates to expectations about actions of a transaction partner: reputation "tells economic actors what to expect of counterparties to transaction that have hard-to-quantify or hard-to-measure qualities".[17] Trust and a good reputation are formed via repeated interactions and transactions

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[11] Bulow/Rogoff, *Forgive*, pp. 43-44; Bulow and Rogoff, 'Why Sovereigns repay debts to external creditors and why it matters', *VOX* (June 10, 2015).
[12] Eaton/Gersovitz, *Repudiation*, pp. 289-290.
[13] Juan Cruces and Christoph Trebesch, 'Sovereign Default: The Price of Haircuts', *American Economic Journal: Macroeconomics*, 5/3 (July 2013), pp. 85-117.
[14] Federico Sturzenegger and Jeromin Zettelmeyer, 'Haircuts: Estimating Investor Losses in Sovereign Debt Restructurings, 1998-2005', *IMF Working Paper* (July 2005).
[15] Nick Vanston, 'Trust and Reputation in financial services', Bank of England, *Driver Review*, DR30 (2012), p.3.
[16] Ibid. pp. 3-5.
[17] Allan Morrison, William Wilhelm and Rupert Younger, 'Reputation in Financial Markets', in: *Investing in Change* (London 2012), pp. 99-111.

between economic actors such as individuals or firms. If a good reputation of one participant can be established over time, this will lead to the positive effect of new actors to trust the participant with a "good reputation" without repeated interaction. This benefits the trustworthy participant in credibly lowering informational asymmetries.[18] Hence, the acquisition of a firm's "good reputation" is highly connected to the "expectations that its partner have of the benefits trading with it".[19] If a once acquired reputation is to be sustained over time, a firm's actions have to meet the expectations its "good reputation" imply and signal to other market participants – a crucial point for this paper.[20] A firm has to frame its actions based on the external expectations of its current clients and potential future clients if it values its reputation.

Sovereign default, its resolution and intermediaries' reputation thus pose a vibrant field of academic research with far-reaching implications and new empirical, as well as theoretical approaches. One of these new approaches is the model of reputational hierarchies in early international securities markets by Flandreau and Flores.[21] They developed this model with a simple claim at its core, yet, containing a far-reaching explanatory power. In the absence of separate institutions, for example rating agencies, to credibly lower informational asymmetries and signal investment grades for securities, and given the low level of information on sovereign borrowers, investors focused on the intermediaries' reputation to guide their investments.[22] It is crucial here to differentiate between the borrowers' and the intermediaries' reputation: Investors could not learn enough about the reputation and credibility of foreign sovereign borrowers, so they focused on the reputation of the intermediary as a proxy for the creditworthiness of the borrower. Thus, this model does not focus on the borrowers' reputation, but on the intermediaries.

When sovereign borrowers accessed global capital markets through the agency of a highly capitalized underwriter, investors were prepared to pay a higher price; thus, leading banks like Rothschild or Barings "owned" a "brand" that could grant favourable borrowing terms.[23] Because these banks controlled access to liquidity, borrowers in turn had powerful incentives to refrain from defaulting, which supported the protection of the intermediaries' credibility.[24]

[18] Douglas Diamond, 'Reputation Acquisition in Debt Markets', *Journal of Political Economy,* 97/4 (1989) pp. 828-862.
[19] Vanston, *Trust*, pp. 4-5.
[20] Ibid.
[21] Flandreau/Flores, *Reputation*; Flandreau/Flores, *Foundations*; Flandreau/Flores, 'Bondholders versus bond-sellers? Investment banks and conditionality lending in the London market for foreign government debt, 1815–1913', *European Review of Economic History*, 16/4 (2012), pp. 356-383.
[22] Flandreau/Flores, *Reputation*, pp. 1-2.
[23] Flandreau/Flores, *Foundations*, pp. 651-654.
[24] Ibid. pp. 651-652.

Therefore, a "sorting game" emerged, with high rank and low rank banks, as well as high rank and low rank borrowers. The banks with a long time horizon supported credible borrowers with concerns about perennial market access, while low rank banks sold bonds of borrowers with a short time horizon.[25] The result of this process was a hierarchical and concentrated global bond market, "which turned out to be sustained by its very monopolisation".[26]

By analysing bond issues traded in London between during the 1820s, they claim that, in accordance with the overall literature, Barings was the dominant power in the international market for sovereign debts until around 1825. Thereafter, they were surpassed by the house of Rothschild with their network of business houses that procured continuously profitable bond issues from European sovereigns. Barings came in second place, and all other merchant banks far behind on a third level.[27] Rothschild as the top firm in the hierarchy signalled "investment grade". The brand implicitly signalled actions such as post issue intervention and active market support, as well as other actions to keep their reputation in the highest rank and their customers from financial loss.[28] On the other hand, Barings already included a small element of "speculative grade" investment. Their "brand" involved at least "honest efforts at bringing borrowers who defaulted back to the negotiating table", at most similar actions as for Rothschild.[29]

This paper builds on this model of reputational hierarchies as described by Flandreau and Flores, to explain the different actions of the houses of Rothschild and Barings in the 1840s US debt and default crisis. It is important to mention two differences between the theoretical model and the empirical case: First, Flandreau and Flores stick in their analysis to the narrowest definition of "sovereign debt", thereby excluding sub-sovereign debt issues.[30] However, as is widely agreed in the literature, though the US states operated in a federal system, they represented quasi-sovereign debt issuers. Neither the federal government nor courts could legally force them into the servicing of the debt – therefore, one should assume that the theoretical model still applies to this case.[31] Secondly, the period of the US state default crisis starts slightly after the period focused on by Flandreau and Flores. However, as there were no major changes in the position or market share of Rothschild and Barings until the early 1840s, this point seems not to be of importance.

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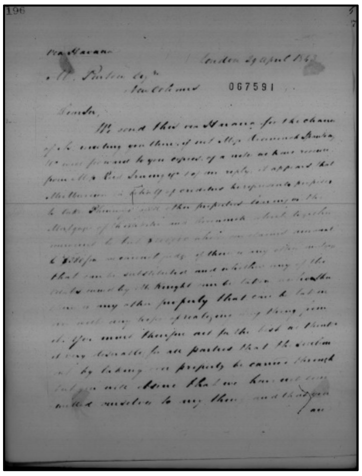
[25] Flandreau/Flores, *Reputation*, pp. 12-14.
[26] Ibid. p. 2.
[27] Flandreau/Flores, *Foundations*, pp. 660-663.
[28] Flandreau/Flores, *Reputation,* pp. 31-32.
[29] Ibid. pp. 32-33.
[30] Flandreau/Flores, *Foundations*, pp. 648-650.
[31] See i.e. English, *Understanding*, pp. 260-261.

The analysis uses primary sources from the archives of the two banking houses and their respective agents in the US, Thomas Ward and August Belmont. The extensive correspondence, containing hundreds of letters and thousands of pages (Example images 1/2/3)., supplies detailed information about their actions and considerations for them from the individual banks. Further business sources such as accounts and internal notes are covered, as well as personal papers of the individuals involved, especially Ward and Belmont, who played central roles in the evaluation of the proceedings during the crisis in the US and the coordination of the banks' actions. But before this analysis can be undertaken, the next chapter will thoroughly consider and review the historiography and status quo of the research on the US defaults of the 1840s, to locate the contribution of this work in the wider research environment.

Image 1 and 2: Letter by Thomas Ward, NAC.



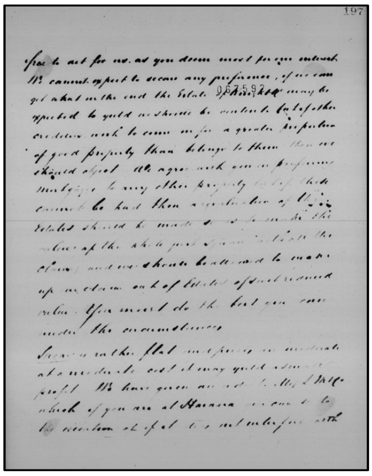
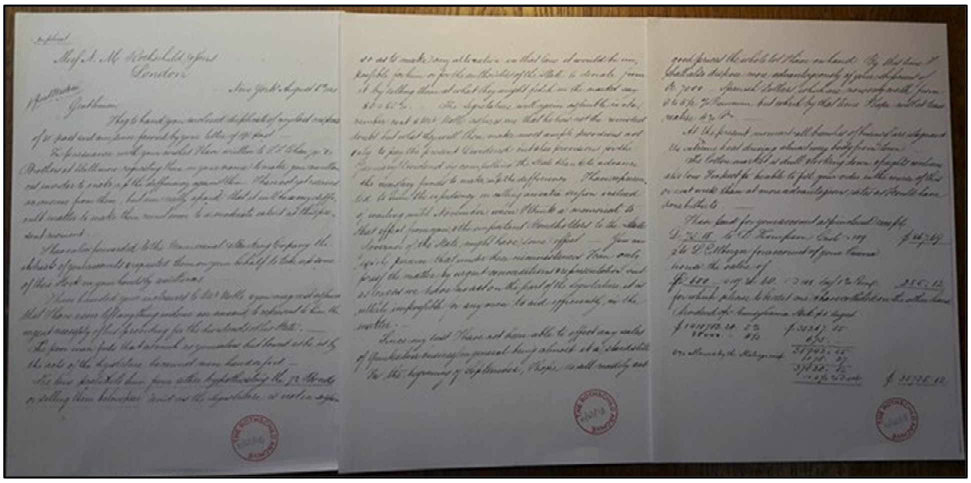


Image 3: Letter by August Belmont, RA.



III. Historiography and research on the US debt crisis of the 1840s

The debt and default crisis

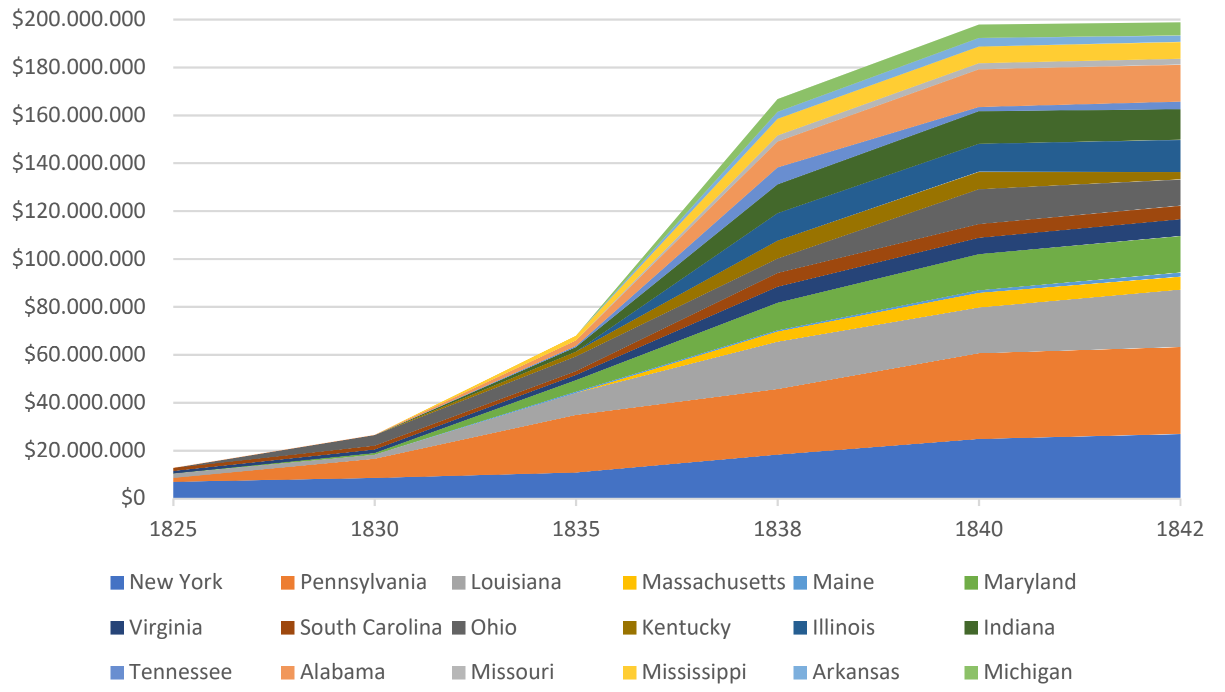
The so-called "age of internal improvement", preceding the state defaults and initiated by the economic success of the Erie Canal in New York,[32] witnessed an unprecedented state involvement in the economic development of the individual states.[33] The financing of these state projects relied in most cases entirely on bonds issued by the individual states, fuelling a rapid increase in state indebtedness (See Figure 1). Besides canal investments, railroad and turnpike construction, the chartering of state banks were the main sources of the public debt in the various states (see Figure 2) – especially after the failed national re-charter of the second bank of the United States in 1836.[34] The chartering of these banks, which took place mainly in the South (see Figure 4), was processed by state governments purchasing shares of the newly chartered banks and paying for these shares with government-issued bonds to the bank. These bonds were then sold to the public through an issuer or distributor (see next section) and the proceeds were used to make loans to landowners.[35] For a detailed overview of the purpose of the contracted debt in the various states see Figure 2 and 4. From a total of around $174 million in overall state debts in 1838, canal investments made up $69 million, banking constituted $52 million and railroads $42.8 million (see Figure 4).[36] A significant regional differentiation emerged: while northern states mainly focused on infrastructural improvements (canals and railroads), the Southern states issued bonds mainly for the purpose of bank chartering (See Figure 2 and 4).[37]

In 1837, a transatlantic economic and financial crisis was triggered by the rise in interest rates of the Bank of England following an outflow of specie due to poor harvests in England and the ensuing import of food.[38] Though originally denied by Peter Temin in his revisionist account, recent works suggest the crisis was indeed further aggravated in the US through the deflationary pressure resulting from the "bank war" by President Andrew Jackson and the failed

[32] See i.e. Daniel W. Howe, *What Hath God Wrought: The Transformation of America, 1815-1848,* (New York, 2007), p. 216; Ronald E. Shaw, *Erie Water West. A History of the Erie Canal, 1792-1854*, (Lexington, Ky., 1966), pp. 72 and 263, or more recently David A. Moss and Dean Grodzins, *Debt and Democracy,* Harvard Business School Case 716-049, February 2016, pp. 2-5.
[33] Sylla et. al., *Repudiation*, pp. 1-3.
[34] See Sexton, *Debtor*, pp. 20-26.
[35] McGrane, *Bondholders*, p. 168-171.
[36] A.C. Flagg, *Debts*, p. 105.
[37] See Sylla et. al., R*epudiation*, pp. 5-8, and English, *Understanding*, pp. 259-275.
[38] Peter Temin, *The Jacksonian Economy,* (New York, 1969).

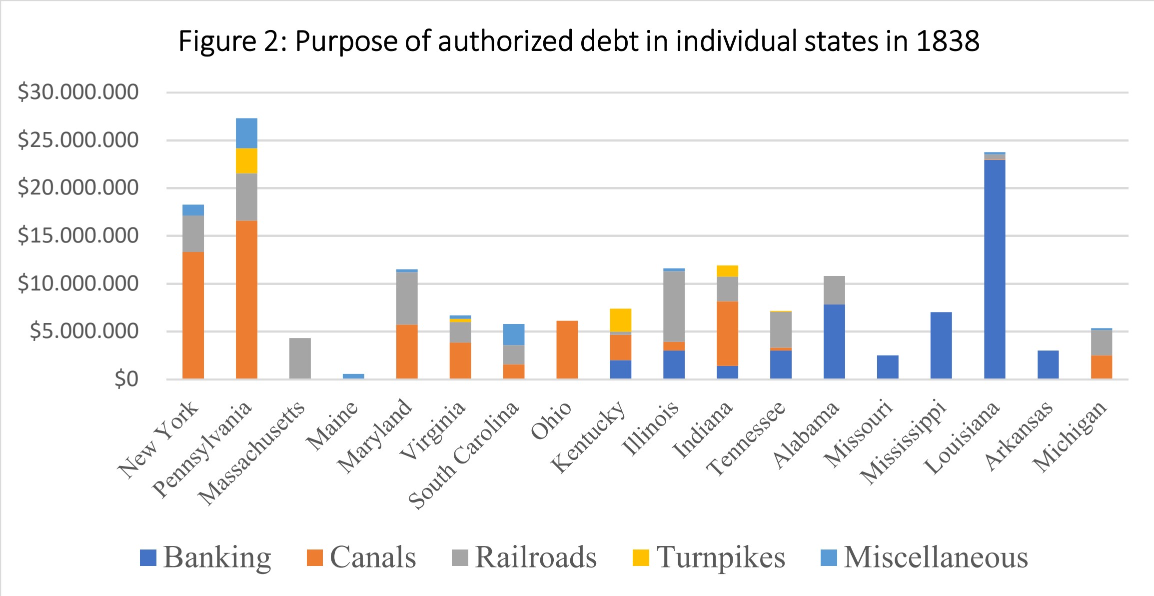
re-chartering of the Second Bank of the United States.[39] After the economic crisis of 1837 and up until the beginning of 1841, public debt in most states got another burst. The indebtedness of all states that issued bonds at the time increased rapidly, as can be seen in Figure 2. Total state indebtedness in 1841, when the first states defaulted, amounted to around $200 million and surpassed even the total federal debt of the US.[40] While in 1825 80% of the total state debt was contracted by only three states, this number was almost cut in half by 1840, at which point 18 states had issued their own bonds (see Figure 3).

Figure 1: Public debt of all 18 states that contracted debts, 1825-1842

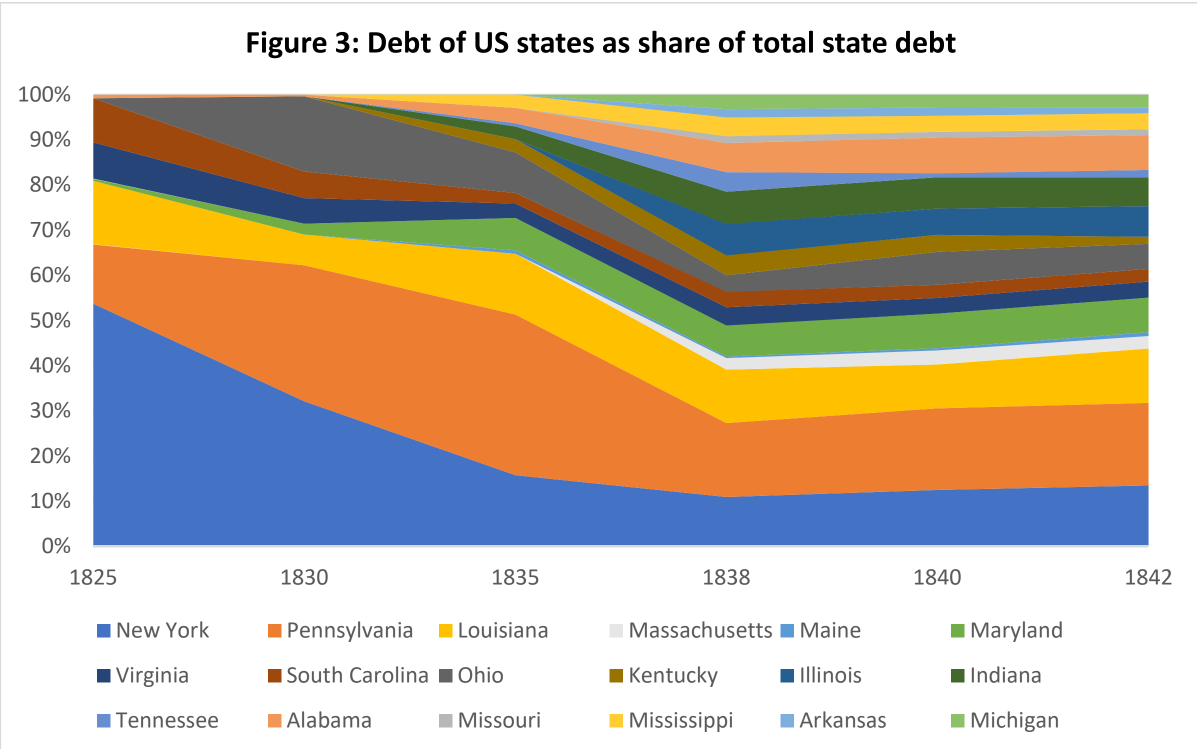


Source: Data from 'Debts and stocks of the several states', *American Almanac and repository of useful knowledge*, (Boston, 1842), pp. 94-107.

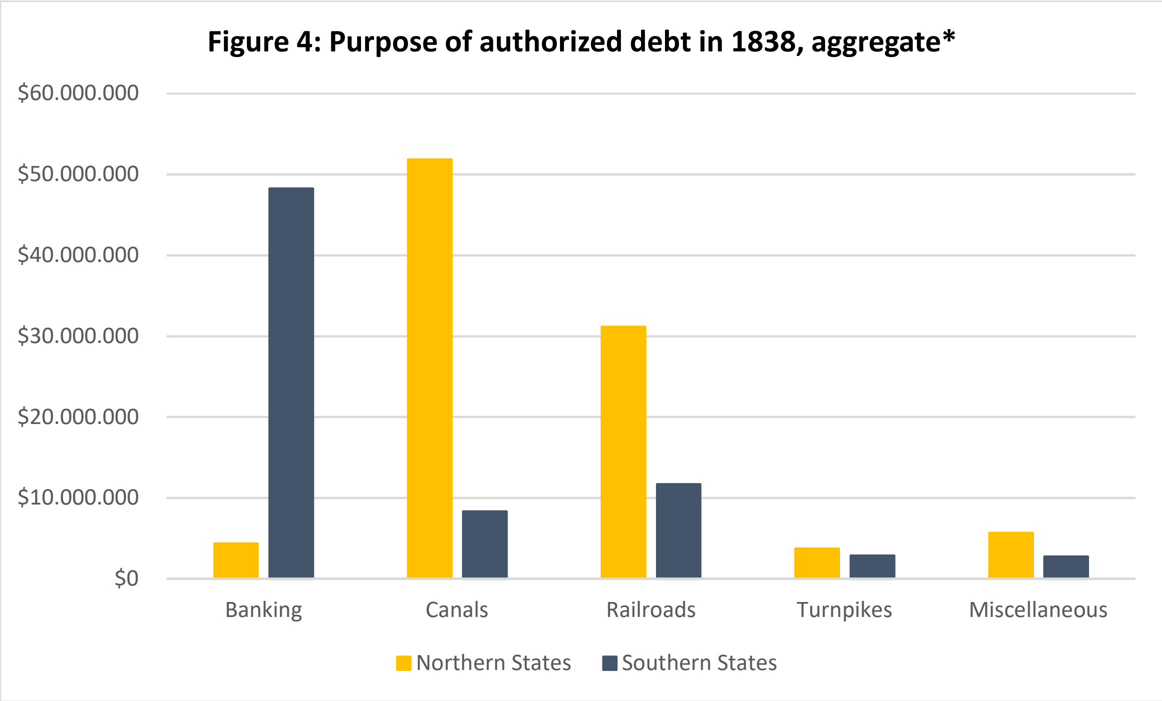
[39] Peter L. Rousseau, 'Jacksonian Monetary Policy, Specie Flows, and the Panic of 1837', *The Journal of Economic History*, 62/2 (2002), pp. 457-488.
[40] McGrane, *Foreign Bondholders*, pp. 34-35.



Source: Data from 'Debts and stocks of the several states', *American Almanac and repository of useful knowledge*, (Boston, 1840), pp. 103-111.

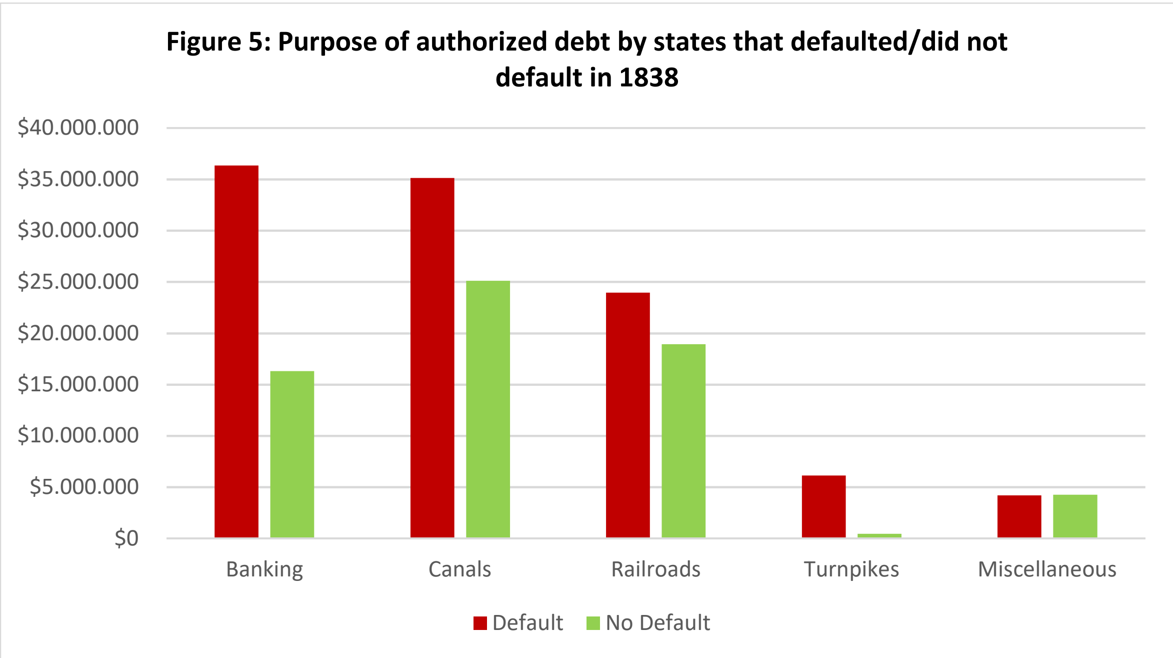


Source: Data from 'Debts and stocks of the several states', *American Almanac and repository of useful knowledge*, (Boston, 1842), pp. 94-107.



Source: Data from 'Debts and stocks of the several states', *American Almanac and repository of useful knowledge*, (Boston, 1840), pp. 103-111.
*Classification based on economic structure and later affiliation with the Union/Confederate States.

As can be seen in Figure 5, though both the defaulting and non-defaulting states issued debts for various purposes, the contraction of debt for bank charters was highly connected with defaults.



Source: Data from 'Debts and stocks of the several states', *American Almanac and repository of useful knowledge*, (Boston, 1840).

A simple and multiple regression of the purpose of the contracted debt on the likelihood of default as a dummy-variable for the 29 states and territories of the US in 1841 emphasizes this point further (See Table 1). An increase in the amount of debt issued for the purpose of "banking" by $1 million would increase the probability of a later default by 5.9% when controlling for the other purposes of the state debt and the amount of total debt issued. This result is significant at the 5%-level and in line with the general literature and narrative on the default crisis.[41]

Table 1: Simple and Multiple OLS, Purpose of authorized debt by 1841[A]

	(1)	(2)
VARIABLES	Simple OLS: Default y/n	Multiple OLS: Default y/n
Banking	0.0721***	0.0590**
	(0.0220)	(0.0237)
Total		0.0187
		(0.0152)
Other		0.0254
		(0.0939)
Constant	0.211**	0.0954
	(0.0811)	(0.0880)
Observations	29	29
R-squared	0.285	0.433

Standard errors in parentheses
*** p<0.01, ** p<0.05, * p<0.1
Source: 'Debts and stocks of the several states', *American Almanac and repository of useful knowledge*, (Boston, 1842), pp. 94-107.
[A] Amount of debt issued overall in the different states for the various purposes; canals and railroads joined into "Transportation"; Transportation omitted in regression. All 29 states and territories of the US by 1841 included.

Another crucial factor in bond issuing and crisis resolution is the composition of the states' bondholders. The bonds issued by the individual states were traded not only on the domestic market, but also internationally, primarily in London.[42] Some states issued their bonds in sterling and made them payable in London to facilitate their business with foreign creditors. This led to an internationalisation of the obligations and a significant differentiation in the bondholder structure of the various states. Over two-thirds of the Pennsylvania debt was held

[41] See i.e. Reginald C. McGrane, 'Some Aspects of American State Debts in the Forties', *The American Historical Review*, 38/4 (1933), pp. 673-686.
[42] English, *Understanding*, p. 261.

in the UK, while other states like Kentucky had issued no debt outside the domestic market (see Table 2).[43]

After a second economic crisis that hit the US in 1839, several states had trouble servicing the interest and the principle of the debt contracted up until then.[44] In January 1841 the territory of Florida became the first US entity in this crisis to default on its debts, which meant the indefinite cessation of interest payment on the bonds. This was followed in the subsequent months by eight states, until the last default in February 1843.[45] These defaults had considerable implications, not only for the defaulting states: American securities as a whole were tarnished.[46] Looking at bond price levels (see Figures 6/7) after the initial shock by the first defaults in January 1841 (see E1 in Figures 6/7), there are considerable co-movements of the bond prices of states that defaulted and those that honoured their debt such as Ohio, Alabama or Kentucky. This seems consistent with qualitative statements of contemporaries, who stressed the low level of information about American states: "at a distance people do not see the local differences and argue that as Mississippi repudiates her debt so may Massachusetts".[47] The trough of the crisis was reached when Pennsylvania and Maryland, two of the wealthiest states of the union, were not able to meet the payment of the interest on their bonds in 1842 (see E3 in Figures 6/7).

However, the paths the individual states took after their initial default diverged decisively. While some states resumed the re-payments at par in the later part of the 1840s, other states pursued a "haircut", thus repudiating part of their obligations, while Mississippi and Florida repudiated their entire debt.[48] Table 2 shows a detailed overview of the debt positions, amounts owed, the bondholder structure and the settlement for the relevant states. The table shows that the high indebtedness/revenue level can explain well which states defaulted and which did not default on their obligations. But also, the high level of foreign held bonds in some of the defaulting states like Mississippi or Pennsylvania compared to the non-defaulters might be seen as a prima facie explanation for the decision to cease payment servicing.

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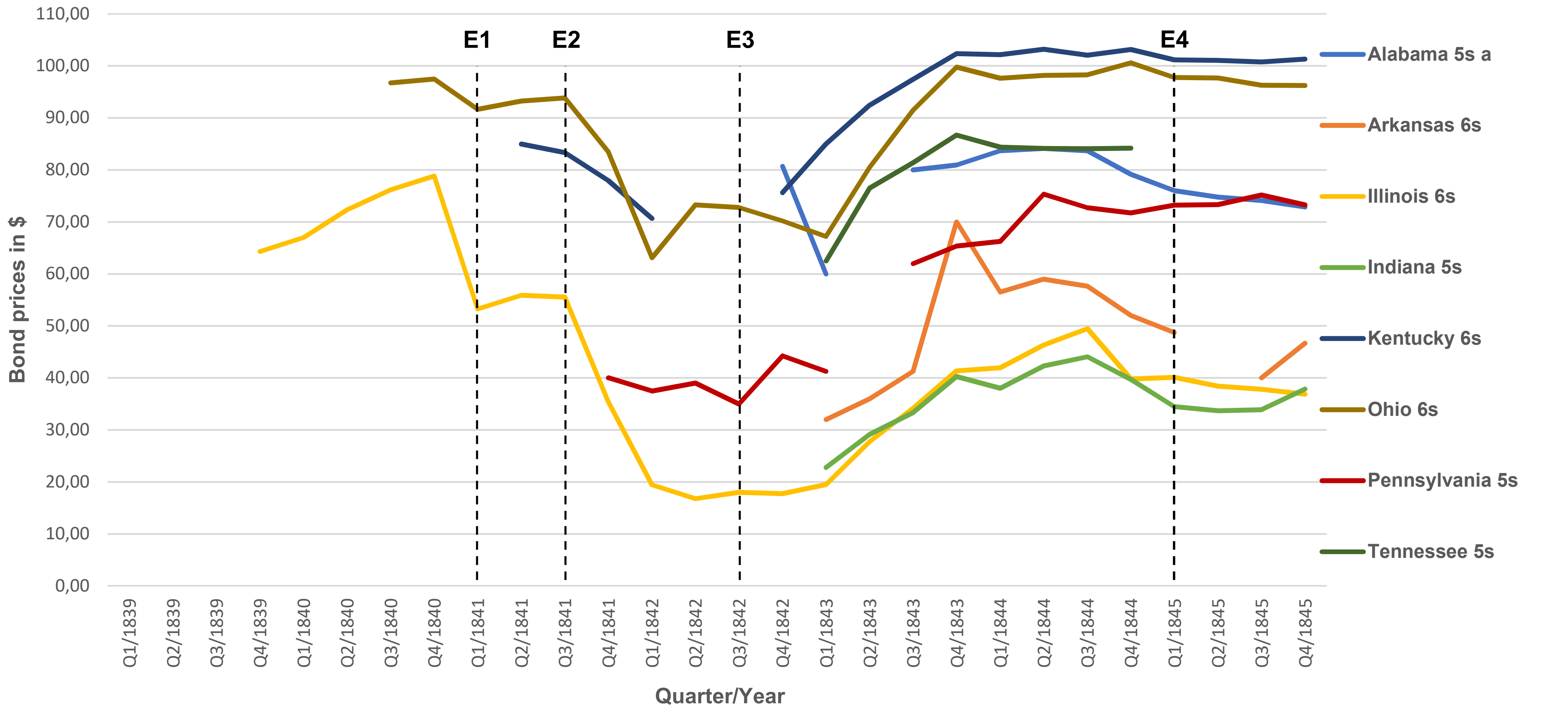
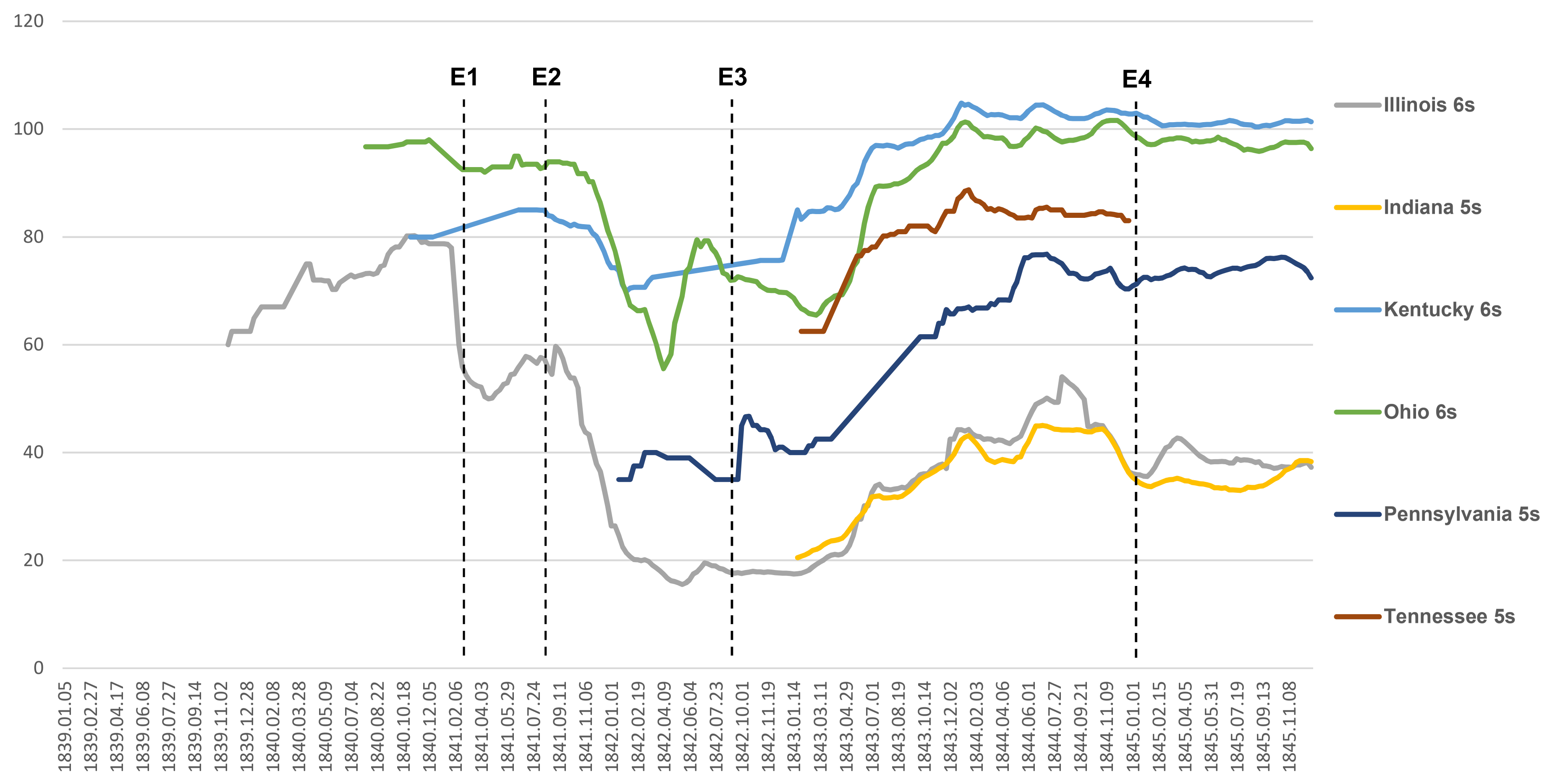
[43] Mira Wilkins, *The History of Foreign Investment in the United States to 1914,* (Cambridge, MA 1989), pp. 67-75.
[44] Jessica Lepler, *The Many Panics of 1837*, (Cambridge, 2013).
[45] English, *Understanding*, p. 265.
[46] Ward to Bates, November 13, 1841, Joshua Bates Correspondence (JBC), Massachusetts Historical Society (MHS).
[47] Bates to Ward, October 17, 1841, JBC, MHS.
[48] See Moss/Grodzins, *Debt*, p. 23; Sylla et. al., *Repudiation*, pp. 5-8; English, *Understanding*, p. 265.

Figure 6: Quarterly state bond price development, Q1/1839 - Q4/1845



Source: Based on data from the "Early American Securities database", compiled by Sylla, Wilson and Wright (2002).
E1: First defaults by Florida and Mississippi; E2: Western states default (Indiana, Michigan, Arkansas); E3: Pennsylvania defaults; E4: Pennsylvania resumes payment of interest.

Figure 7: Moving averages, weekly state bond prices 01/1839-12/1845



Based on data from the “Early American Securities database”, compiled by Sylla, Wilson and Wright (2002).
E1: First defaults by Florida and Mississippi; E2: Western states default (Indiana, Michigan, Arkansas); E3: Pennsylvania defaults; E4: Pennsylvania resumes payment of interest.

Table 2: Debts of 15 states, purpose and bondholder structure

State	Nominal Debt[A]	Population[B]	Expenditure[B]	Revenue[B]	Debt/ Revenue	Revenue/ Expenditure	Debt/ Capita	Primary Purpose[A]	Bondholder Structure*[C]			Resolution/ Settlement[A]
Florida	$4.000.000	54.002	N/A	N/A	N/A	N/A	$74,07	Banking (97,5% of total debt)	N/A	N/A	ca. 50%	Default: Jan. 1841 Repudiated Feb. 1842
Mississippi	$7.000.000	375.651	$215.904	$161.161	$43,43	$0,75	$18,63	Banking (100% of total debt)	0%	0%	100%	Default: Mar. 1841 Repudiated Nov. 1852
Arkansas	$3.176.000	97.574	$51.991	$58.507	$54,28	$1,13	$32,55	Banking (100% of total debt)	N/A	N/A	ca. 50%	Default: Jul. 1841 Partial repudiation (Haircut)
Indiana	$14.251.000	685.866	$127.527	$136.748	$104,21	$1,07	$20,78	Transportation (63.1% of total debt)	0%	N/A	N/A	Default: Jul. 1841 Resumption Jul. 1847
Michigan	$5.611.000	212.267	$141.485	$14.000	$400,79	$0,10	$26,43	Transportation (94.8% of total debt)	N/A	N/A	N/A	Default: Jul. 1841 Partial resumption, 1846
Illinois	$13.537.000	476.183	$186.000	$170.942	$79,19	$0,92	$28,43	Transportation (70.3% of total debt)	N/A	N/A	N/A	Default: Jan. 1842 Resumption Jul. 1846
Maryland	$12.015.000	469.232	$259.468	$255.678	$46,99	$0,99	$25,61	Transportation (98% of total debt)	N/A	N/A	N/A	Default: Jan. 1842 Resumption Jan. 1848
Pennsylvania	$36.366.000	1.724.633	$687.447	$702.719	$51,75	$1,02	$21,09	Transportation (82.5% of total debt)	28%	3%	69%	Default: Aug. 1842 Resumption Feb. 1845
Louisiana	$19.174.000	344.570	$688.991	$530.000	$36,18	$0,77	$55,65	Banking (90.7% of total debt)	N/A	N/A	N/A	Default: Feb. 1843 Partial resumption, 1844
New York	$21.797.000	2.428.921	$918.725	$451.790	$48,25	$0,49	$8,97	Transportation (95.5% of total debt)	54%	4%	42%	No Default
Ohio	$15.083.000	1.519.467	$222.407	$231.415	$65,18	$1,04	$9,93	Transportation (90.1% of total debt)	33%	63%	4%	No Default
Kentucky	$3.086.000	776.923	$256.866	$262.716	$11,75	$1,02	$3,97	Transportation (98.7% of total debt)	51%	49%	0%	No Default
Virginia	$6.857.000	1.239.797	$580.437	$665.057	$10,31	$1,15	$5,53	Transportation (88.5% of total debt)	N/A	N/A	N/A	No Default
Massachusetts	$5.149.000	737.699	$445.745	$396.000	$13,00	$0,89	$6,98	Transportation (95.1% of total debt)	N/A	N/A	N/A	No Default
Maine	$1.678.000	501.793	$318.172	$52.178	$32,16	$0,16	$3,34	Other (100% of total debt)	N/A	N/A	N/A	No Default

Source: Based on English, *Understanding*[A], *American Almanac*[B] and *Hunt's Merchant Magazine*[C].
N/A = Not available.
*Bonds held in the state/ Bonds held outside of the state/ Bonds held outside of the US (1841-43).

Accounts of the causes of the state defaults have stressed various elements to explain the crisis, from pure naivety of political decision-makers, moral hazard implicit in the American federal system or unwillingness to increase domestic tax levels.[49] More recent research especially by Sylla, Wallis and Grinath disputes these traditional explanations. They emphasize that the majority of state debts in default in 1842 were contracted after 1837 (see Figure 1). Most states did not expect investments to return substantial revenues by 1841 and they therefore could not experience unexpected shortfalls in those revenues. Furthermore, most states were willing to raise their tax rates substantially. The relationship between land sales and land values, with a considerable drop in the value of land that was sold by states to refinance themselves after 1839, on the one hand is able to explain much of the timing of the state borrowing and the default experience of especially the Western and Southern States. However, Pennsylvania and Maryland on the other hand defaulted because they postponed the imposition of a necessary state property tax until it was too late.[50] This was a notion also frequently picked up by contemporaries, as the tax level in these states was not increased until after their default in 1842, though these states had the necessary "potential".[51]

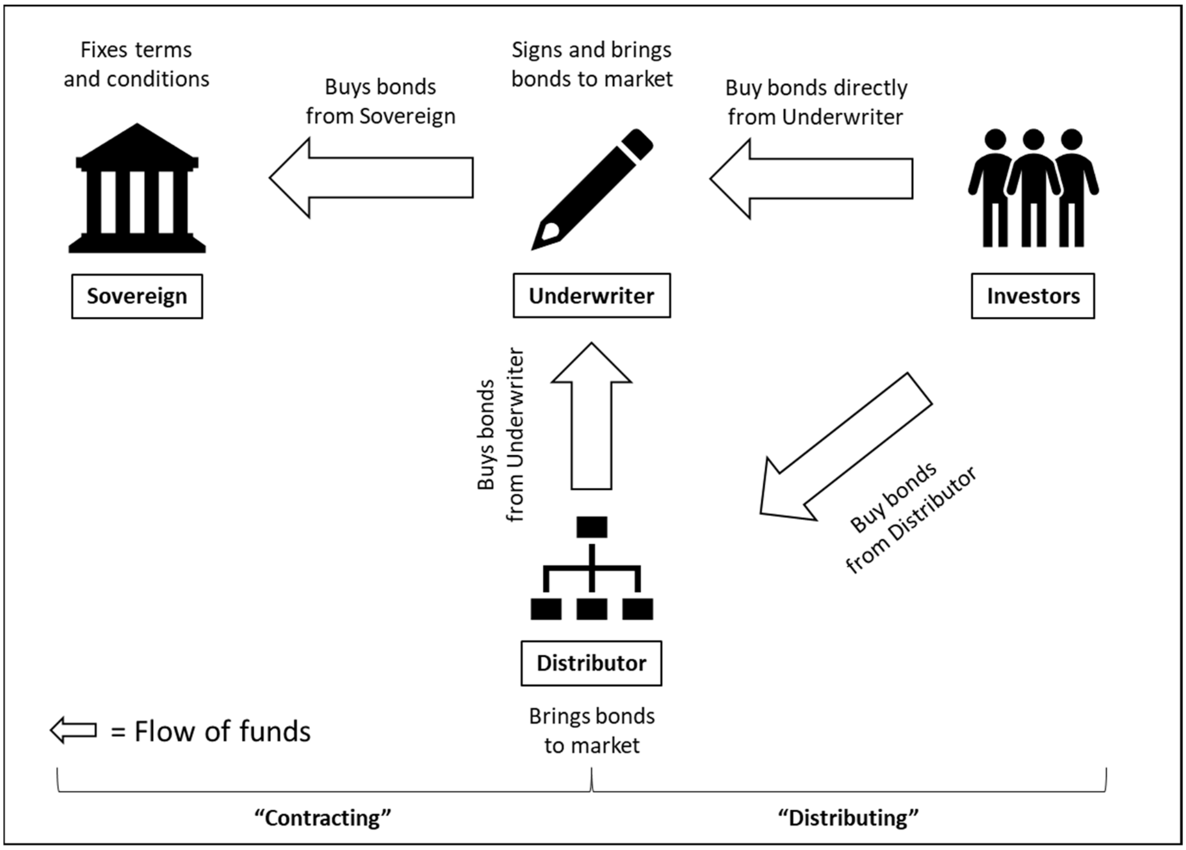
The role of financial intermediaries in securities markets

Financial intermediaries, especially international merchant banks, played a key role in the emergence and development of early securities markets as underwriters and distributors of sovereign bonds. However, the different steps in the process of bond issuing did not necessarily have to be undertaken by only one institution. When a sovereign, an entity that cannot be legally forced to honour the debts they contracted, wanted to raise new capital by issuing bonds – termed with an agreed maturity and coupon – it was in need of an underwriter. The underwriter would buy the bonds from the borrower and sell it on to the public, generating a profit through the lower price for which the bonds were bought.[52] In the 19th century, the selection of the suitable underwriter was processed in two different ways. Either as a formal "sealed bid auction", in which intermediaries competed through sealed offers for a bond issue with the highest offer winning. Or as an "open bargaining system", which included open offers and counter-offers in an informal way that usually was used if an issuer had a preferred underwriter.[53] After this first step, the contraction of the bond issue, the securities had to be

[49] See i.e. David Dewey, *Financial History of the United States*, (New York, 1912); Marvin Meyers, *The Jacksonian Persuasion: politics and belief*, (Stanford, 1957).
[50] Sylla et. al., R*epudiation*, pp. 1-5.
[51] Ward to Bates, May 7, 1841, JBC, MHS.
[52] Flandreau/Flores, *Reputation*, pp. 9-10..
[53] Flandreau/Flores, *Foundation*, pp. 651-653.

sold to the creditors in the next step through the distribution channels of the bank that managed the transfer of funds and the selling of the bond instalments (Figure 8). Furthermore, arrangements for the later management of the coupon payments – determining where they could be redeemed or the transfer of funds from the borrower to the creditor – also had to be made by the underwriter. In some cases, the steps of contracting, distributing and coupon management were all covered by one institution, though there are cases in which only a part of the process was covered by a single institution.[54] The public visibility of the banks in this process could vary, depending on the degree of association with a certain bond issuer they wanted to portray.[55]

Figure 8: Stylized process of sovereign bond issuing in the early 19th century



Source: Edited by the author.

Before the 1840s US defaults, British merchant banks played a central role in the internationalisation of the State debt and providing market access to European financial centres.[56] For Maryland bonds for example, Barings acted as underwriter and managed coupon

54 Ibid. pp. 652-653.
55 Flandreau/Flores, *Reputation* pp. 10-14.
56 McGrane, *Bondholders*, pp. 18-19; English, *Understanding*, pp. 260-262. For merchant banks see Youssef Cassis, 'Baring Brothers', *The Baring Archive Symposium*, (London 2013).

payments in London.[57] This is an important aspect for the association between borrower and intermediary, as bondholders redeemed coupons at the bank, thus having the firm not only inscribed on the bond but also as the window through which their regular payments were provided. In most cases however, when coupons were made payable in the US, Barings left this part to other US firms such as Prime, Ward and King of New York City.[58] Rothschild was involved with a loan to the US Bank in the early 19th century, but not directly as a prominent underwriter for state bonds in the lead up to the 1840s crisis.[59] However, the firm did apply for several bond issues like the 1832 Louisiana loan, acted as a distributer for bonds in the London market and held large amounts of state bonds in their own accounts during the crisis.[60]

The focus on the role of financial intermediaries in the issuing and management of the state debts leads to the question this paper primarily addresses: their role during the state defaults and their resolution. Since the establishment of effective bondholder interest groups such as the Corporation of Foreign Bondholders in Britain in the 1860s happened after the defaults, these aspects become even more important. The 1840s crisis arguably contributed in a significant way to the formation of the Corporation, a fact displayed by the prominent role of the house of Barings in the crisis and the subsequent foundation of the bondholder entity.[61]

The most prominent and detailed account of the role of financial intermediaries in the 1840s US state debt and default crisis and its settlement was written by Reginald McGrane in 1935. Besides this focused study, several further works on the history of Barings and Rothschild also deal partly with the crisis.[62] McGrane focused on the international character of the American state debts and the "foreign bondholders". He saw this element as central, as he experienced the heated discussions and the conflict about the settlement of the international war debts during the interwar period.[63]

Barings and Thomas Ward were the main figures in his analysis of the crisis, highlighting various important aspects and producing a thorough basis for further research.[64] McGrane also hinted at one strategy pursued by Barings, illustrating its high involvement: an "under-cover" campaign, including lobbying of public opinion in favour of debt resumption through

[57] Charles Fenn, *A Compendium of the English and Foreign Funds*, (London, 1840), pp. 44-45.
[58] Ibid. pp. 45-50.
[59] Rothschild Archive Catalogue, *Relations to the US and American Agency*, Rothschild Archive London (RA).
[60] See Bates to Ward, September 21, 1832, JBC, MHS; Belmont to Rothschild, January 7, 1840, Belmont House Correspondence (BHC), RA.
[61] Flandreau/Flores, *Foundations*, p. 649;
[62] See Philipp Ziegler, *The Sixth Great Power*, (New York, 1988), or Ralph Hidy, *The House of Barings in American Trade and Finance*, (Cambridge, 1949).
[63] McGrane, *Aspects*, pp. 673-686.
[64] McGrane, *Bondholders*, pp. 1-19; 382-389.

newspapers and state officials, financed by Barings and orchestrated by their agent Thomas Ward.[65] Recent studies of the crisis largely omit this important and extraordinary involvement or attribute these actions to "foreign bondholders" and not Barings specifically.[66]

Though providing an extraordinarily detailed account of the default crisis, McGrane omitted by far the biggest and most influential international banking house from his analysis: the house of Rothschild. Jay Sexton took up this critique of McGrane's work and included Rothschild in his analysis.[67] However, he mainly followed McGrane's narrative, focusing not on the resolution of the defaults, but on the influence of the banks on politics and diplomacy in the US and Britain in the years between 1837 and 1861.[68] Thus, Sexton falls short in both systematically exposing the different strategies pursued by the various banking houses and explaining their reasons.

Several other questions are not addressed or only briefly touched by existing works. What were the exact strategies and actions undertaken by the two major banks involved in the 1840s US state debt crisis? Why did different banks follow the same strategy in some instances but diverged in other cases? What role did the banks' reputation play in incentivising them to act? The next chapters will comprehensively answer these questions.

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[65] McGrane, *Bondholders*, pp. 73-74.
[66] English, *Understanding*, p. 268.
[67] Sexton, *Debtor*, pp. 20-81.
[68] Ibid, pp. 1-19.

IV. Crisis of reputation - Barings and Thomas Ward

The background and position of the two leading merchant banks, Baring Brothers and Rothschild, their strategies and involvement in the settlement of the state defaults, as well as their internal considerations resembled one another to a high degree. However, Barings became involved to a much larger extent in the resolution of the defaults than Rothschild, especially in the two crucial states Pennsylvania and Maryland – although Barings was less invested in these "bad stocks". This paper argues that this behaviour of the financial intermediaries is in line with the idea of reputational hierarchies in early international bond markets outlined by Flandreau and Flores. For Baring Brothers & Co. the defaults were a crisis of *reputation*, for N. M. Rothschild it was a crisis of *investment*. Thus, the responses to the proceedings and the different extent of involvement in the resolution of the defaults from the two internationally leading houses can be explained.

The merchant bank Baring Brothers & Co. was associated like no other financial institution with the United States, American trade and American securities in general during the 1830s and 1840s.[69] Its position as central trading house for cotton has been acknowledged by recent accounts and contemporaries alike,[70] as well as its outstanding position as long-term official financial agent of the US federal government in Europe, a status also held with several states i.e. Maryland.[71]

However, the involvement of the firm in the resolution and settlements of the US state defaults is essentially centred around two main characters. The American agent of the house, Thomas Wren Ward, and Joshua Bates, an American expat who became a leading partner at Barings in London, were the decisive figures. Ward, a successful and respected Boston merchant and banker, became the US agent of Barings in 1830.[72] Though a friend of Bates, their business relationship was at the start of Ward's agency coined by classical principal-agent problems, including disputes on adequate compensation or the extent of responsibilities and liability.[73] However, these issues were gradually resolved and through the extending and profitable management of the agency, Ward became the most trusted agent of Barings, entitled to considerable liberties in the conduct of their agency and enjoying full backing by the London house.[74]

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[69] Bates to Ward, February 6, 1831; Ward to Bates, January 4, December 11, 1831; JBC, MHS.
[70] Sven Beckert, *Empire of Cotton,* (London, 2014); Ziegler, *Sixth*.
[71] Bates to Ward, November 7, 1830, JBC, MHS; Sexton, *Debtor*, pp. 41-43.
[72] See for example Thomas Ward Diary, August 5, 1830, MHS;
[73] Bates to Ward, April 5, 1832, JBC, MHS.
[74] Thomas Ward Diary, January 24, 1841; Ward to Bates, January 12, 1844, JCB; Bates to Ward, April 5, 1832, JBC, MHS.

At the beginning of the 1830s, Barings was heavily involved in bringing US state securities to the market. The House bid successfully for the issuing of "reputable" and "profitable" Louisiana state bonds payable in London in 1832.[75] After issuing the bonds and an initially slow distribution due to exogenous factors, Barings even "supported" the loan by publicly buying bonds at 1% above the market level, as otherwise one would "get the reputation of not supporting one's loan" – though it later sold all these bonds.[76] Nevertheless, it was the position as the main issuer of Maryland bonds that was clearly visible to the public and highly associated with the firm – the only defaulting state security held also in the accounts of the bank during the crisis.[77]

However, during the rise of American state securities – the "great article of our times"[78] – and the dubious marketing and selling tours of these bonds especially in the British market during the early and mid-1830s,[79] Barings still exercised vigorous judgement about which state loans to take up and bid for, and which to avoid. Several opportunities were passed on by the house that seemed profitable to contemporaries – such as the Mississippi 6 percent loan issued in 1833, which was repudiated completely by the state after its default in March 1841.[80] The House did not want to be "associated" with loans for "questionable" projects, as for example for most state bank charters (see chapter 3).[81]

Applying to the British government and the public

Private investor's calls upon their government to take action in the case of default by foreign sovereigns were a common theme in early international bond markets, especially in Britain. Some researchers even point towards the importance of "supersanctions" and "gunboat-diplomacy" as a necessary potential threat in sustaining sovereign debt in early international bond markets.[82] However, in the 1820s and 1830s, British public officials, prime ministers and foreign secretaries were strictly against any involvement in these private matters. As prime minister George Canning put it in 1827: "If British investors chose to risk their money overseas, then it was their own funeral if they lost it".[83]

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[75] Bates to Ward, January 4, September 21,1832; Ward to Bates, September 4, 1832, May 24, 1833, JBC, MHS.
[76] Bates to Ward, July 10, 1833, JBC, MHS.
[77] Bates to Ward, January 31, 1843, JBC, MHS.
[78] Bates to Ward, November 24, 1830, JBC, MHS.
[79] See McGrane, *Bondholders*, pp. 1-21.
[80] English, *Understanding*, p.265.
[81] Ward to Bates, May 28, 1833, JBC, MHS.
[82] Kris Mitchener and Marc Weidenmier, 'Supersanctions and Sovereign Debt Repayment', *NBER Working Papers*, July 2005; Flandreau/Flores, *Foundations*, pp. 648-649.
[83] Ziegler, *Sixth*, p.108.

Thus, public appeals to the British government by bondholders seemed to be futile right from the beginning and made up the smallest part of Barings' strategy in the default resolution. Nevertheless, bondholders, encouraged and supported by intermediaries such as Barings and Rothschild, applied through the press and memoranda to their government, in order to take up the matter with the American President Tyler.[84] In a memorandum sent to the British foreign secretary Lord Aberdeen in February 1843 (as well as to US officials), the petitioners stressed that they were representing to a large part "persons in the middle ranks of life – officers on half-pay (…) aged spinsters, widows, and orphans" who would "depend on their subsistence" on the interest payment of the bonds.[85] However, Lord Aberdeen discouraged these efforts promptly, as the British government had "no concern with the securities in question and no power to compel payment".[86]

Nevertheless, besides this public refusal the direct and indirect influence of Barings on British politics especially towards the US at the time cannot be overestimated. With the former partner Alexander Baring, the 1st Baron Ashburton, the firm had a direct connection to the House of Lords and the British government, as he became special envoy to the US. This was further underlined by the close personal connection of the leading partners Thomas Baring and Joshua Bates with prime minister Sir Robert Peel.[87] These connections were leveraged by Barings, especially in 1842 during the negotiations of the Webster-Ashburton treaty, which resolved border disputes between Great Britain and the US along the Canadian and Maine boarder and further minor issues.[88] Investors feared the tensions between America and Britain might ultimately lead to war, putting further pressure on the American bond market and hence further impeded a resolution.[89] Barings helped to reconcile the tensions between the two countries and actively supported its former leading partner Lord Ashburton and its long-standing legal counsel and supporter, the American foreign secretary Daniel Webster, in relieving the pressure on the financial markets.[90]

Furthermore, Barings' most influential partner at the time, the American expat Joshua Bates, also took measures to counter the bad press about America and its securities in Britain. Especially the long-standing unfavourable reporting on US securities by, what he described as

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[84] London Times, January 12, 1843, Times Digital Archive (TDA); McGrane, *Bondholders*, pp. 52-53.
[85] Memorial to Lord Aberdeen on American Securities, February 27, 1843, quoted in McGrane, *Bondholders*, p.53.
[86] Lord Aberdeen on the memorial on American Securities, March 6, 1843, quoted in McGrane, *Bondholders,* pp. 53-54.
[87] See i.e. Ward to Bates, May 14, 1839, JBC, MHS; Ward to Bates, July 25, 1833, JBC, MHS.
[88] Bates to Webster, April 15, 1842, DWC, MHS.
[89] Bates to Ward, August 1, 1842, JBC, MHS.
[90] Bates to Ward, August 18, 1842, JBC, MHS.

the "venal" and "vile", Times of London and the "New York Herald" were targeted by Barings.[91] The bank would have been willing to fund an American newspaper in London with £500, to counter these views as well as to further increase its influence and pressure on the British government.[92] However, the project was abandoned after a while by Bates as there was no "suitable" editor to be found.[93]

Lobbying in the US

Barings even more avidly tried to push the federal and state governments in the United States to resolve the state defaults. The network and connections built up over the 1830s by Thomas Ward and Joshua Bates within the federal and many state administrations and legislatures were of immense importance here, as this granted Barings access into the highest circles of decision-making within the various levels of government.

On the federal level, the banking house had promoted from a very early stage on a "federal relief" of the states, similar to the assumption of the state debt after the revolutionary war – essentially a full or partial bailout.[94] Though in December 1839 still thinking it not "expedient for the US federal government to meddle in this matter",[95] the events of 1840 and the temporary delinquency of Pennsylvania in paying the semi-annual dividend on its debt changed the minds of Ward and Bates.[96] The incoming federal administration under President Harrison and then Tyler should now promote with all its power the "distribution of the public lands amongst the States".[97] This idea, to distribute the increasing revenues of public land sales by the federal government between the individual states of the union, had been floated for a while, but gained new traction due to the state defaults.[98] However, Ward grew continually doubtful about the potential effect of the land bill, which would raise a maximum of $3 million per year, so "divided among 240 representatives would give about $12,500 to each", that "the poor and weak states (..) would not help".[99] Nevertheless, Bates and Ward still promoted it in meetings with several members of the Tyler administration, from the foreign secretary Daniel Webster

[91] Bates to Ward, June 2, 1833; Bates to Ward, May 16, 1845, JBC, MHS.
[92] Bates to Ward, October 4, 1841, JBC, MHS.
[93] Bates to Ward, November 18, 1841, JBC, MHS.
[94] See Sargent, *Europe*, pp. 2-4.
[95] Ward to Bates, December 12, 1839, JBC, MHS.
[96] Bates to Ward, April 2 and December 13, 1840, JBC, MHS.
[97] Ibid.
[98] See Sexton, *Debtor*, p. 26;
[99] Ward to Bates, May 7, 1841, JBC, MHS.

and the secretary of the Treasury Thomas Ewing to President Tyler himself.[100] In the end, the bill was passed in Congress, but as predicted failed to provide the hoped for relief.[101]

Barings's position as official agent of the federal government, as well as the extraordinary relations with leading members of the administration such as foreign secretary Daniel Webster, who was paid $500 directly by the firm as a "retainer fee" for his "legal counsel", yet mainly to secure their influence upon him, put Barings into an extraordinary position to leverage its influence upon the federal government.[102] When asked if a new federal bond issue could be distributed in the European markets, Joshua Bates answered quite bluntly "that it would go better if the proceedings of Congress indicated a determination to uphold the credit of those states that were in trouble".[103] This was not a singular occasion: in conversation with Daniel Webster on the overdrawn account of the Navy with Barings, Joshua Bates stated openly that he "cannot as yet bring my mind to inflict an additional blow on the credit of my country by refusing the Navy Bills, but if nothing is done at Washington [about the state debt] such a course will by and by become inevitable".[104]

Overall, access to new liquidity and credit was another focal point in the dealings of the banking house with the federal government. On the one hand, the house was unwilling to raise a new loan for the federal government, increasing the pressure to resolve the state defaults. Yet, there is no evidence for the execution of concerted efforts to deliberately cut off the federal government from international credit markets, as proposed by the Dutch bank Hope & Co.[105] On the other hand, the defaults had "stained" every security – or "insecurity" as they were often then referred to in Europe[106] – connected with the US and Bates doubted if "the number and violence of the sufferers by American securities would not wholly prevent the sale of any new loan".[107] The considerable co-movements between securities of defaulting and non-defaulting states (See Figures 6/7) underline these qualitative statements, as even states with "solid" finances experienced shocks to their perceived creditworthiness.

A third element developed in the "negotiations" between Barings and the federal level were elaborate plans to secure the interest payments of the state debts. Similar to plans by the Whig William Cost Johnson, who proposed a $200 million national loan to assume all of the state

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100 Bates to Ward, May 18, 1841, JBC, MHS.
101 Bates to Ward, July 8, 1841, JBC, MHS.
102 Ward to Bates, November 1, 1843, JBC, MHS.
103 Bates to Ward, May 18, 1841, JBC, MHS.
104 Bates to Webster, April 15, 1842, Daniel Webster Correspondence (DWC), MHS.
105 Sexton, *Debtor*, p. 28.
106 Bates to Webster, April 15, 1842, DWC, MHS.
107 Bates to Ward, May 20, 1842, JBC, MHS.

debts,[108] Barings proposed that the federal government should issue a loan, to provide for the interest payment of the state debt.[109] Through the imposition of "appropriate" duties and a $12 million dollar loan, the default situation should have been directly relieved, thus raising the creditability of all American securities in Europe.[110] In combination with appropriate taxes imposed by the state legislatures and governments, this should lead the US out of its crisis.[111]

However, all these measures turned out to be futile – the federal administration and Congress did not see themselves in a position to resolve the crisis and bail out the states. The state legislatures on the other hand failed to impose appropriate tax bills to raise their own revenues to a sustainable level in the first years of the crisis until 1843– to the natural discontent of bondholders and financial intermediaries alike.[112] Neither were expenditure levels cut significantly. Contrary to the idea by North and Weingast of "democratic advantage" in raising and sustaining sovereign debt, which assumes the supremacy of democracies over other institutional constructs due to shared fiscal responsibility, several well-informed European investors questioned profoundly the creditworthiness of democracies as such, since it would be "idle to suppose the people would tax themselves to pay the interest on the national debt".[113] When the Democratic Party, which favoured repudiation of the public debt in some states, started to gain more traction and the "ghost" of Mississippi's repudiation still loomed over the public perception, Barings saw itself under the necessity to step up their game if they wanted to preserve their "good name" and status in the international bond market.[114]

Pressing for resumption: An unparalleled campaign

Besides these already substantial measures, the financially most significant involvement of Barings was conducted neither through federal pleas for bailouts, nor by calling upon politicians to increase revenues and cut spending, but by financing and promoting a large-scale, undercover campaign in the decisive states of Pennsylvania and Maryland from at least July 1843 onwards – though sources suggest Ward had actually already been trying to "influence the public opinion" in the US overall and in these states in particular for several months through

[108] Sexton, *Debtor,* p. 26.
[109] Bates to Webster, April 15, 1842, DWC, MHS.
[110] Ibid.
[111] Ward to Bates, March 31, 1842, JBC, MHS.
[112] Ward to Bates, May 7, 1841; Bates to Ward, July 23, 1841, JBC, MHS.
[113] See Douglas North and Barry Weingast, 'Constitutions and Commitment', *The Journal of Economic History*, 49/4 (1989), pp. 803-832; Bates to Ward, May 29, 1843, JBC, MHS.
[114] Bates to Ward, November 3, 1841, JBC, MHS; Belmont to Rothschild, November 22, 1841, BHC, RA.

newspaper articles and pamphlets.[115] Why were these two states chosen by Barings for their main efforts? How extensive was this effort and how was it carried out?

First, Maryland was the only state in default of which Barings was holding bonds in their own account – around £130,000 in total.[116] Hence, they had a direct financial incentive to become active in the resolution of this state's default. However, other considerations seemed to have played the central role, as "it was not a rise in stocks but payment by the states that was wanted".[117] Baring Brothers & Co. was the key agent and issuer of Maryland bonds, also in charge of paying the coupon dividends and in this capacity highly visible towards the bondholders.[118] Hence, Barings' name and reputation, or "brand", was highly interconnected with this state and its bonds, a dominating and recurrent feature in the considerations of the firm to such an extent that Joshua Bates stated bluntly in 1841 that "our fame would suffer (…) in case of [Maryland's] default".[119] Furthermore, Maryland was one of the wealthiest states within the union. Compared especially to the newer states of Indiana, Illinois and Michigan, which seemed "willing but unable" to raise tax levels to a standard of sustainable indebtedness in the short-term, Maryland should have been quickly able to do so.[120] Thus, the resolution of Maryland's default, in conjunction with Pennsylvania, seemed a feasible short-term goal that would signal a positive trend towards European investors: "If Pennsylvania or Maryland were to get right it would cause a great change in public feeling [in Britain] in regard to American securities".[121]

The last point is even more important in explaining the push for a resolution of Pennsylvania's default. Barings had no direct investment in Pennsylvania state bonds, because the House was determined that its name should avoid the "Bank of the United States in Philadelphia" and connections to Pennsylvania by all means. After the federal government refused to continue the Bank's charter, it was re-chartered in Pennsylvania under a state charter through its director Nicholas Biddle,[122] about whom Barings had adamant views: "Baring Brothers can in no way be mixed up with it, so that the name will not be associated with that of Mr Biddle in any way".[123] Yet, Pennsylvania was regarded as the key element to restore the

[115] Barings to Ward, July 3, 1843, National Archives of Canada in Ottawa (NAC); Bates to Ward, January 31; October 3, 1843, JBC, MHS.
[116] Bates to Ward, January 31, 1843, JBC, MHS; Barings accounts, 1839-1845, Baring Archive London (BA).
[117] Ward to Bates, November 1, 1843, JBC, MHS.
[118] Bates to Ward, November 3, 1841, JBC, MHS.
[119] Ibid.
[120] Ward to Bates, March 31, 1842, JBC, MHS.
[121] Bates to Ward, January 31, 1843, JBC, MHS.
[122] See i.e. Sexton, *Debtor*, p. 22.
[123] Bates to Ward, May 18, 1841, JBC, MHS.

"faith of investors" in America and its securities. It had accumulated over $36 million in debt, the largest nominal amount of all states, of which two-thirds was held abroad (see Table 2). The default of one of the wealthiest states in the Union in August 1842 marked the trough of investor faith into American securities (see Figures 6/7). The unwillingness to raise taxes and cut spending was perceived as especially worrisome in this case "for Pennsylvania is able to pay; there can be no doubt of it. If the will is wanting, there is no hope".[124] As McGrane and contemporary sources emphasize, the state's name became almost synonymous in the British public and press with American default and even repudiation - though it never repudiated its debt.[125] Thus, as "Pennsylvania" became synonymous for British investors with "America", with which Baring's name was inextricably combined, the state had to be brought back to honour its obligations in order to restore investors' faith, "for you may rest perfectly certain that until Pennsylvania pays her dividends there will be no sale of American stocks abroad".[126] The long-term time horizon of Barings regarding the business in American bonds thus also was a decisive incentive for the banking house to try to restore the creditworthiness of the states.

Thomas Ward had from very early on discovered the influence of printed materials such as newspapers or pamphlets to influence public opinion, especially after the extension of suffrage and the increased level of education in the US in the 1830s.[127] In his view, newspapers were "a necessary evil, and though tending to mislead and confuse rather than to correct public opinion are yet more powerful for good than evil".[128] Thus, it is not surprising that Ward leveraged this medium for his purposes from an early stage in the crisis. As he remarked in his private journal in 1840, though "Sam Ward and Nathan Appleton here aided much in giving public opinion in the right direction (…) nearly all the articles published at the time the Philadelphia Bank [Note: Bank of the US] suspended, and those in the whole public press in New York were written by me or procured by me to be written".[129] He had no doubt about the effectiveness of this method, as "it is not saying too much to claim that but for me New York and New England would unquestionably have suspended specie payments".[130] In conjunction with Nathan Hale, a long-standing friend of Ward and the editor of the "Boston Daily Advertiser", the oldest and most influential New England newspaper at the time, Ward tried to influence policy-makers to

[124] Bates to Ward, December 3, 1841, JBC, MHS.
[125] See for example the "Letter from Pennsylvania", published in the satirical *Punch Magazine*, London, January 13, 1844, p. 31. See also McGrane, *Bondholders*, pp. 58-60.
[126] Bates to Ward, April 26, 1843, JBC, MHS.
[127] Thomas Ward Diary, December 31, 1828, MHS; Bates to Ward, November 3, 1841, JBC, MHS.
[128] Ward to Bates, July 25, 1833, JBC, MHS.
[129] Thomas Ward Diary, January 5, 1840, MHS.
[130] Ibid.

increase the level of taxation through public pressure from at least 1840 onwards, so even before the first states defaulted – and not only from 1843, as for example McGrane claimed.[131]

In 1841, Barings suggested that Ward should use "all gentle means" in Pennsylvania and Maryland to promote new tax bills and increase the tax levels, so that to questions about their agent's role "we may reply that he has done everything in his power".[132] However, a significant impetus for the "campaign" was given in 1843, after the repeated failure to pass appropriate tax bills in the legislatures of Pennsylvania and Maryland. Under the lead of Barings five smaller banking houses that were invested in Pennsylvania State bonds joined them to form the "Committee on State Debts".[133] This new, unofficial committee was mainly created to provide funds for Ward and dedicated £2000 for his role in Pennsylvania – a substantial sum considering he usually paid $10 for a newspaper article and $20 for an editorial.[134] "No expense necessary (…) should be spared" in order to "bring these states right".[135] Considering that Ward's annual salary amounted to £1500 to £2000, which would equal about £160,719 in 2003, this was already a considerable financial commitment in Pennsylvania.[136] The intention for this investment was stated freely by Ward: "it will be for the interest of those concerned in American securities to have the press used freely and the matter followed up and *all proper means used to act on public sentiment*, and *bring these states right"*.[137] He emphasized that Barings' expenses "will be nothing compared with the object, and your House can do a great deal, as it has already done through your influence and action on both sides of the water".[138] As Ward could not act directly as agent of Barings to avoid the impression of foreign meddling in US affairs, Nathan Hale managed the campaign in Pennsylvania, while Ward's and Hale's articles arguing in favour of taxation and against haircuts or repudiation were sent and printed in newspapers from New York to New Orleans.[139] For one extensive article that was "very highly thought of here", written by Benjamin Curtis under advice from Ward and Hale and published originally in the "Christian Review", but that got re-published nationwide, they were willing to pay up to $200.[140]

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[131] Ward to Bates, January 6 and 15, 1839; Bates to Ward, January 3, 1842, JBC, MHS.
[132] Baring to Ward, October 16 and November 18, 1841, NAC.
[133] Barings to Ward, July 3, 1843, NAC.
[134] Ibid.
[135] Ward to Bates, November 15, 1844, JBC, MHS.
[136] Jim O'Donoghue et. al., 'Consumer Price Inflation since 1750', *Economic Trends*, 604 (2004), pp. 38-47.
[137] Ward to Bates, November 15, 1844, JBC, MHS; Italics were highlighted in original source.
[138] Ibid.
[139] Bates to Ward, September 4, 1843, JBC, MHS; Ward to Bates, November 14, 1843, JBC, MHS.
[140] Benjamin Curtis, 'An Article on the Debts of the States', *Christian Review*, (Boston, 1844), pp. 3-24; Ward to Bates, January 12, 1844, JBC, MHS.

However, newspapers were not the only vehicle through which Ward and Barings sought to promote a resolution in these states. Nathan Hale went frequently to Harrisburg to lobby state policy-makers directly and convince them of the tax proposal – similar actions were taken up in Baltimore.[141] Direct "employment" of politicians like the mentioned foreign secretary Daniel Webster was a key element, and he "would do all he could in every way, and the gentlemen on the other side [Baring Brothers] and myself [Ward] would do what they saw fit in regard to compensation".[142] The direct financing with £1000 for the Whig campaign of Thomas Pratt in Maryland, who was a pro-taxation advocate, is another example of these actions.[143]

Ward also engaged in "enlisting of the clergy" for the resolution of the defaults: Preachers should tell their congregations about the moral obligation of debt and issue favourable articles in Christian reviews.[144] The importance of acting secretly and outside of the public sphere was stressed in every piece of correspondence. At no cost whatsoever should the electorate in the defaulted states suspect foreign influence in the matter: it "would not appear well if it should get out. It is very important that we should not in any way interfere in the elections".[145]

Ward's campaign was highly appreciated in London by Barings: "We are much pleased with all your doings, and what you have written on various subjects for the newspapers and to the authorities in Maryland is quite enough to render your fame immortal at some future day".[146] The banking house and its agent had "spent a great deal of time and thought, and I may add money, in this matter of State debts, and without any pecuniary interest".[147] When Pennsylvania passed an appropriate tax bill in 1844 and resumed interest payment at par in 1845, with Maryland following the example a few years later, Barings and Ward were confident about their decisive role and influence in the matter: there was "a right feeling gaining ground among the politicians. I hope it is so, and ought to believe it to be so, for I have urged it in public and private for a year past as inevitable and a necessity which we must come to".[148]

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[141] Ward to Bates, January 12, 1844, JBC, MHS; Belmont to Rothschild, October 30, 1843, BHC, RA.
[142] Ward to Bates, November 1, 1843, JBC, MHS.
[143] Barings to Ward, July 18, 1845, NAC.
[144] Bates to Ward, October 3, 1843; Barings to Ward, July 18,1842, NAC.
[145] See for example Bates to Ward, October 4 and November 3, 1841; November 4, 1844, JBC, MHS.
[146] Bates to Ward, January 31, 1843, JBC, MHS.
[147] Ward to Bates, December 16, 1844, JBC, MHS.
[148] Ward to Bates, July 14, 1844; January 30, 1845, JBC, MHS; Bates to Ward, October 29, 1845, JBC, MHS.

V. Crisis of investment? Rothschild and Belmont

In the most important and extensive history of the House of Rothschild, Niall Ferguson stated "America (…) was a challenge to which the Rothschilds never quite rose".[149] In his view, the reason why Rothschild did not manage to establish a lasting presence in America after the 1830s and 1840s was the failure to establish a long-term relationship with the American federal administration, combined with the actions of their agent August Belmont.[150] These two elements have to be further investigated in the analysis of Rothschild's and Belmont's involvement in the default resolution.

While Barings had established an outstanding presence as financiers of the American federal government and the same exclusivity as issuer of state bonds like Maryland's, the London and Paris houses of Rothschild tried to push their way into the lucrative US business only from the early 1830s onward.[151] In 1832, Rothschild bid for the issuing of a Louisiana state loan.[152] After being declined, the firm later acted as distributor of some bonds and securities in the London market, though on a limited level. For a short period in the late 1830s, N.M. Rothschild was able to win over the official agency of the US government in Europe from Barings, though Rothschild did not issue bonds in this capacity and Baring Brothers was quickly reinstalled in 1843 through their superb connections to the Tyler administration.[153] However, the most important action taken up by N.M. Rothschild & Sons in London and the Paris House of Rothschild Frères in relation to the US was not the brief agency or the distribution of bonds, but the negotiation of a loan to the then privately-run Bank of the United States in 1839. The house provided a £900,000 loan to "Mr Laudon [the agent of the bank in Europe] against security of Pennsylvania, Michigan, Illinois, Indiana state stock".[154] Though some of these securities also came from non-defaulting states such as New York and Ohio, with the collapse of the US bank in 1841 the firm was holding American state bonds of several defaulting states.

The second important feature to elaborate is the role of the Rothschild agent August Belmont.[155] Barings' agent Thomas Ward was born in 1786 and ascended to a respectable and experienced businessman by the time of the 1837 crisis, when he was 51. Rothschilds' agent Belmont, born in 1813 as August Schönberg to a poor Jewish German family around

[149] Niall Ferguson, *The House of Rothschild: Money's Prophets 1789-1848*, (London, 1999), p. 490.
[150] Ibid. pp. 473-505.
[151] Rothschild Archive Catalogue, *Relations to the US and American Agency*, RA.
[152] Bates to Ward, September 21, 1832, JBC, MHS.
[153] Belmont to Rothschild, June 25, 1843, BHC, RA; Bates to Ward, September 4, 1843, JBC, MHS.
[154] Belmont to Rothschild, January 7, 1840, BHC, RA.
[155] Irving Katz, *August Belmont: A Political Biography*, (New York, 1968), pp. 1-6.

Frankfurt, had neither witnessed the young American nation, nor the French Revolution, the Napoleonic Wars or the War of 1812 between the US and Britain.[156] Belmont's life, actions and choices were characterized by a rapid ascendency into the highest ranks of both finance and politics in the United States. By the end of his life, he was one of the wealthiest Americans, served as Consul-General of Austria in the US as well as leader of the Northern Democratic Party in direct contest to Abraham Lincoln during the Civil War, married the daughter of Commodore Matthew Perry and joined the New York high society.[157] Illustrating his widespread political and business network, the 12 pall bearers at Belmont's funeral in 1890 included ex-President Grover Cleveland, John Pierpont Morgan and New York Governor David Hall.[158] But in 1837 he was only 24 years old and at the start of his career.

This rise was enabled through two characteristics that defined also his agency for Rothschild: a significant dedication to his work as well as an affinity for initiatives and risk-taking.[159] His industrious character on the one hand was famous among his colleagues at the Frankfurt house of Rothschild, where he started each day at 5 a.m. in order to improve his language and calculation skills.[160] His appetite for initiatives and risk-taking became obvious when he decided to act against the stated will of his principal Lionel Nathan de Rothschild in 1837 by establishing himself as the Rothschild agent in the US.[161] The former Rothschild agent in the US, J. L. and S. I. Joseph, went bankrupt amidst the troubles of the 1837 crisis and Belmont, whose original mission was to take up the Havana agency, established himself as the official agent of the house in America – when just 24 years old.[162]

This noncompliance with his principals' mandate caused a long-term friction between Rothschild and Belmont: "I think Belmont is a great ass (…) He treats business so lightly that I do not like him at all as an agent".[163] While Barings and Ward had some classic principal-agent issues and disputes at the beginning of the agency, Rothschild and Belmont never fully established the same level of trust.[164] Thus, their actions during the default crisis were significantly less coordinated, but they were also focused on both Britain and the US.

[156] Ibid.
[157] Ferguson, *Rothschild*, pp. 493-498; Katz, *Belmont*, p. 2-4.
[158] David Black, *The King of Fifth Avenue*, (New York, 1981), p. 724.
[159] Katz, *Belmont*, pp. 2-6.
[160] Ferguson, *Rothschild*, p. 493.
[161] Ibid. pp. 495-497.
[162] Rothschild Archive Catalogue, *August Belmont Biography*, RA.
[163] Lionel Nathan de Rothschild to the Paris House in 1840, quoted in Ferguson, *Rothschild*, p. 497.
[164] See i.e. Belmont to Rothschild, September 15, 1843, BHC, RA.

Efforts in Britain and the US

The influence of Rothschild on British politics and their ability to shape relevant policies during their zenith in the early and mid-19th century has been well documented and thoroughly analysed. The later assistance of Lionel Nathan de Rothschild to the British government in securing the funds to procure the Khediv of Egypt's share in the Suez Canal is only one famous episode.[165] Thus it is not surprising that Rothschild, similar to Barings, tried to apply to the British government to leverage their influence with the federal and state governments in the US. However, after an "unsuccessful attempt" by Rothschild "to induce the British government" to act in favour of the bondholders of the US states, the firm diverted their main efforts towards more promising paths.[166]

More central to the efforts and role of Rothschild in the resolution of the crisis, but poorly documented, is the firm's role on the other side of the Atlantic. Similar to Barings' attempts, Rothschild too applied to the federal government in the US to act in order to resolve the state defaults.[167] However, Belmont made it clear to his employers that "the constitution not only prevents the president from interfering at all in the matters and interests of individual state but restricts even Congress materially on this".[168] Since the federal government "has no power whatever to assume the debt of the states and such a measure will find an overpowering opposition without regard to party", the "only practicable measure" from Belmont's perspective would be the distribution of public land sales revenues to the states discussed above. On a federal level in the US, this was the cause he and Rothschild promoted, by leveraging their network in the Tyler administration on the one hand and on the other hand by refusing further liquidity to the federal government – similar to Barings.[169] James de Rothschild, founder of the French House of the Rothschild business, famously told US Treasury representatives that "you may tell your government that you have seen the man who is at the head of the finances of Europe, and that he has told you that you cannot borrow a dollar, not a dollar."[170] However, compared to Barings, this engagement on the federal level neither included a financial involvement as with Daniel Webster, nor is there evidence

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[165] Rothschild Archive Catalogue, *Timeline*, RA.
[166] Belmont to Rothschild, February 18, 1841, BHC, RA.
[167] Belmont to Rothschild, April 22, 1841, BHC, RA.
[168] Ibid.
[169] Belmont to Rothschild, April 22, 1841, BHC, RA; McGrane, *Bondholders*, p.31; Sexton, *Debtor*, p.28.
[170] Green to Calhoun, January 24, 1842, American Historical Association report, quoted in McGrane, *Bondholders*, p.34.

that the firm actively promoted a bailout or assumption of the debt other than the efforts regarding the public land sales revenues.[171]

Thus, Belmont and Rothschild directed their efforts in the resolution of the crisis toward the state level. Though only arrived in 1837, Belmont had already established a considerable network in the highest ranks of politics and finance within most states of the US by the time the first states defaulted in 1841, and he promised to his principal that "the future credit of the different States is viewed here by our most intelligent & experienced men".[172] However, Rothschild's and Belmont's overall efforts on the state level were focused primarily on the state governments and legislatures of which they held bonds. Pennsylvania and Maryland, which played the central role for the Barings' efforts, only comprised one part of the Rothschild interests; especially the defaulting Western states Indiana, Illinois and Michigan were the second focal point for the firm, as they held large quantities of their stocks.[173]

After the default on interest payments by Pennsylvania and Maryland, Rothschild wanted Belmont to monitor the progress of a potential resolution through a tax bill that would raise the state revenue level to an appropriate level.[174] But besides merely observing, Rothschild did not entrust Belmont to proceed further in these matters (see next section). Rather, the firm gave a "remonstrance [a protest note] to the State of Pennsylvania" to Thomas Ward, Barings' agent, to point to the necessity of the state government to increase taxation within the state, as otherwise "American state credit could not be restored".[175] As in almost all efforts undertaken by Rothschild, they were neither the only bondholder involved nor the driving force behind the action.[176] Furthermore, the rapture between principle and agent became again apparent in this instance, as Belmont questioned the abilities of Ward and especially Nathan Hale: "Mr. Hale I am told is a very honest and industrious man but he is dull and heavy and little fit for a mission near a legislature, the members of which (entre nous soit dit) are a precious set of rascals & with whom a plain straight forward dealing man won't do much good".[177]

The situation was quite different regarding the firms' efforts in the resolution of the Western states' defaults. Belmont was ordered to stay in regular contact with the state governments of Illinois, Indiana and Michigan and he met frequently with governors,

[171] Belmont to Rothschild, April 27, 1842, BHC, RA.
[172] Belmont to Rothschild, March 9, August 6, 1841; June 25 and 30, 1843, BHC, RA.
[173] See i.e. Belmont to Rothschild, December 31, 1841; January 9 and July 30, 1843, BHC, RA.
[174] See i.e. Belmont to Rothschild, March 31 and May 11, 1843, BHC, RA.
[175] Belmont to Rothschild, October 30, 1843; November 30, 1844, BHC, RA.
[176] Ibid. and Rothschild to Belmont, November 3, 1843, American Letter Copy Books (ALB), RA.
[177] Belmont to Rothschild, October 30, 1843, BHC, RA.

commissioners and comptrollers, where he "never left anything undone nor unsaid to represent (…) the urgent necessity of (…) providing for the dividends".[178] These efforts did indeed provide results in the end. After longer negotiations with Noah Noble and James Whitcomb, governors of Indiana between 1841 to 1844, Belmont succeeded in negotiating a haircut of 50% for the state that would include the hand-over of the revenue of the transportation works to the creditors: "the principal stockholders would consent to a reduction of the interest from 5 to 2,5%" as "to pay the whole [would be] out of the power of the state".[179] Again, these actions were based on Belmont's initiative rather than the result of Rothschild's orders. They were cautious and tentative upon receiving news of the idea for a reduction of the outstanding debt of the state: "We agree with you in thinking that it would be well to get a part payment of the dividends upon Indiana bonds, if the state is unable to pay them in full, but we are not disposed to take a leading part in a plan for the purpose (…) We would rather wait therefore until others come forward, and we will readily join then in any judicious plan for obtaining payment of the dividends".[180] This fits with another aspect: the perception of Rothschild as Jewish outsiders.

In most of these efforts and proceedings, the role taken up by Rothschild and Belmont was always supposed to be private and to be kept secret, as their actions were targeted by antisemitic and anti-banking forces in the states.[181] Thus, in all their efforts, they were "desirous of avoiding to enter into any written communication with high functionaries in office upon these matters as they are generally but too apt to treat them lightly or even worse in order to make political capital out of it".[182] One illustration for this need posed Alexander McNutt, governor of Mississippi and ardent proponent of debt repudiation in his state, who attacked the foreign creditors sharply, especially the Jewish Rothschilds: "The blood of Judas and Shylock flows in their veins (…) The freemen of Mississippi are not so degenerate as to submit to heavy taxation to pay a claim not contracted in accordance with their supreme law ".[183] However, when it suited their purposes, the firm opened up about their involvement with the state governments. One example where Rothschild and Belmont agreed to operate publicly was provided by Azariah Flagg, Comptroller of New York. He wanted to create a

178 See i.e. Belmont to Rothschild, August 6, September 25 and December 31, 1841; November 5, 1842, BHC, RA.
179 Belmont to Rothschild, May 28, December 14 and 30, 1844; BHC, RA; Compare Linda C. Gugin et. al., *The Governors of Indiana*, (Indianapolis, 2006), p. 78.
180 Rothschild to Belmont, June 21, 1844, ALB, RA.
181 See i.e. Belmont to Ward, May 15, 1844, BHC, RA.
182 Belmont to Rothschild, March 31, 1842, BHC, RA.
183 A.G. McNutt, January 10, 1841, 'Senate address', *Mississippi Senate Journal* (1841), pp.17-21.

"statement of the amount of stock of this state held by foreigners" in order to emphasize the need to "moderate our expenditures, continue the tax and adhere in all respects to a sound system of finance" to regain access to international capital markets – an attempt considered worthy of support by Rothschild.[184] They agreed to be publicly referenced as one major bondholder in this report to the New York legislature, to support the political campaign for a higher tax level and expenditure cuts in the second largest debtor state by emphasizing the foreign credit in the state.[185]

Considerations without action?

However, in the case of Belmont and Rothschild it is not sufficient only to take into account the role they assumed in the resolution of the state defaults. Just as enlightening is the further analysis of what was *considered* by them, but not *executed*. Two features are outstanding, especially compared to Barings' considerations: On multiple occasions, further investment into American state stocks was recommended by Belmont to Rothschild, as well as proposals for arbitrage trading between the New York and London bond market. Also, Belmont urged Rothschild to invest in an undercover campaign similar to the one executed by Barings in Pennsylvania and Maryland.

Throughout the crisis, Belmont constantly promoted further investment by Rothschild into both US state and federal securities, as he believed the crisis to be resolved within a reasonable amount of time and bond prices rising with the more positive outlook. In March 1841 for example, he was convinced that "the purchase of such state stocks as Indiana, Illinois & Pennsylvania at the present prices would prove (…) one of the best operations (…) [and] I can only recommend you in the strongest terms to purchase (…) the above named stocks".[186] These considerations were explicitly avoided by Barings and Ward, who did not see the crisis foremost as a matter of investment: "If I had not made it a rule never to speculate (…) I should have been tempted to buy Pennsylvania stock at its recent depression".[187] Furthermore, Belmont frequently considered arbitrage trading between the New York and London bond market due to the price differential in the two markets from the beginning of the crisis onwards.[188] From his point of view, these opportunities arose through the informational asymmetries between European and American investors – a fact he wanted

[184] A. C. Flagg to Belmont, September 12, 1842, BHC, RA.
[185] Belmont to Rothschild, September 16, 1842, BHC, RA.
[186] See i.e. Belmont to Rothschild, March 9, 1841; August 31, 1843, BHC, RA
[187] Ward to Bates, December 16, 1844, JBC, MHS.
[188] Belmont to Rothschild, March 31, 1842, BHC, RA.

to leverage to his and the firm's benefit. Yet Rothschild, having limited confidence in the assessment of their agent, declined to undertake such measures.[189]

Disappointed by the slow progress in getting Pennsylvania to raise its tax level, Belmont sent a proposal to Rothschild in September 1843, just months after Barings' campaign was further increased and funded by the firm. In his view, a decisive measure "in order to carry the question of taxation would be to work upon the masses and get them to advocate it".[190] His "plan would be to appropriate on the part of the principal stockholders an amount of £2000 to £3000 (…), to be used towards paying contingent expenses of two or three influential men, who would have to be selected from both parties". These men should both influence the electorate in Pennsylvania through public meetings and through direct lobbying in the legislature. Thus, "I am sure that in less than twelve months an overwhelming majority will carry a sufficient tax bill to provide for the punctual payment of the dividends hereafter".[191] Belmont learned about the undercover campaign already undertaken by Ward just two months after Ward's measures received the £2000 funding, yet he still believed that he would be more effective with his plan.[192] But Rothschild declined to act as proposed by Belmont, as his "plan (…) is a spirited one", but he excused the firm's abstinence from such measures with the believe that Pennsylvania would "come right" and service its debt sooner or later.[193]

Why did Rothschild decide against these measures proposed by Belmont, especially considering the mediocre investment needed for a potentially high return on their extensive Pennsylvania state bond holdings? Multiple factors had affected this decision: On the one hand the already mentioned distrust into Belmont as agent surely played a crucial role. On the other hand, potential free-rider considerations must be included in the explanation, as Rothschild was well aware of the Barings' efforts in the state.[194] Furthermore, Rothschilds' reputation and name were not connected with Pennsylvania or America in general, as in the Barings' case. Thus, the firm was willing to accept the present loss, or at least unwilling to further increase its stakes in the uncertain matter, as the default process would not harm its future business strategy and profits. This argument is further supported by the aforementioned Rothschild plan to exit the

[189] Belmont to Rothschild, October 6, 1843, BHC, RA.
[190] Belmont to Rothschild, September 30, 1843, BHC, RA.
[191] Ibid.
[192] Belmont to Rothschild, October 30, 1843, BHC, RA.
[193] Rothschild to Belmont, November 3, 1843, ALB, RA.
[194] Belmont to Rothschild, October 30, 1843, BHC, RA.

US state bond market, even if it would take-off again after the first resolutions.[195] The business in the US should focus on the merchant side and, as long as there was no federal guarantee for the state bonds, get rid of all bonds of the "most blasted and stinking country in the world".[196]

Investment, reputation and intervention

The analysis of the roles and efforts taken up by the two banking houses in the resolution of the defaults showed two substantially differing tracks. The total spending of Barings for their campaign to resolve the defaults of Pennsylvania and Maryland accumulated to more than £3000, excluding the yearly payments as "retainer fee" for Daniel Webster that varied between $500 to $1000, further special payments for his services and the high degree of time and effort put into these actions by both Joshua Bates and Thomas Ward. Rothschild on the other hand did not engage in further financial investment into the default resolution, although they were holding at least £300,000 in defaulting US state securities at the start of the crisis compared to Barings' £130,000 of Maryland bonds.[197] Rothschilds' role poses an enlightening comparison as it was in a reversed position to Barings: though heavily invested in securities of defaulting states, it was neither visible as underwriter of American state securities nor was its name connected to the US overall in any comparable way. Yet one must keep in mind the relative share of the overall capital and exposure to the crisis: for Barings this made up around a fourth of the firms' capital, while for Rothschild this was around one sixth of the combined capital of the London and Paris house.[198]

The signalling through the underwriters' reputation, based on the reputational model of Flandreau and Flores, is a theoretical concept in line with this argumentation. Barings, as highly intertwined with the US and direct underwriter and issuer of state securities was clearly and visibly connected to them – a fact, as shown in the analysis, frequently acknowledged in the internal documents and considerations of the firm. Rothschild on the other hand, only holding these securities but not acting as underwriter, would have been able to pull out of the market without tarnishing the banks' name and reputation. Barings name, following the reputational model, signalled a particular kind of "investment grade" (though lower than Rothschild's name would have signalled) and "expected actions" based on their reputation (see chapter II). The predicted implications of the model for a high class underwriter with post-issue intervention,

[195] See i.e. Rothschild to Belmont, November 3, 1843, ALB, RA; Belmont to Rothschild, April 23, 1845, BHC, RA.
[196] Anthony Rothschild, 1842, quoted in Ferguson, *Rothschild*, p. 493.
[197] Bates to Ward, July 23, 1841, JBC, MHS; Belmont to Rothschild, January 7, 1840, BHC, RA.
[198] For capital share of the two houses see Flandreau/Flores, *Foundation*, p. 664.

market support and the “honest efforts” to bring associated defaulters “back to the negotiation table” can all be matched with the actions and considerations of Barings. Thus, the difference between the two Houses based on their role and connection to the defaulting sovereigns, as well as their standing in the international reputational hierarchy becomes even clearer. As Stephen Fay put it in his account of the demise of Barings: “Indeed, a merchant bank is always a confidence trick of a kind: its greatest single asset is never its balance sheet but its name”.[199] Again, for Baring Brothers the defaults were a crisis of reputation, for Rothschild it was a crisis of investment.

The engagement by Barings in the US state defaults and their resolution, though exceptionally extensive, is in line with the actions of the firm in other cases of sovereign default where they were associated as underwriter and intermediary for the respective sovereign. In the case of the Mexican default of 1827, where Barings also acted as underwriter of the bonds, the firm took an active and continued role in the resolution of the default, as “many bondholders would never have retained their position in the loan but for the character which Mr. Barings gave it by undertaking the agency”.[200] With Alexander Baring assuming the position of first chairman of the “Committee of Mexican Bondholders” – a frequently used structure for Barings as can be seen in the case of Pennsylvania, as well as during the Venezuelan default in 1847 – the firm eventually helped to negotiate an agreement with the Mexican government in 1831, and continued its involvement in the country thereafter.[201] Thus, the case of the US state defaults, though as sub-sovereign defaults in a federal system not directly focused on by Flandreau and Flores, is a suiting extension of the original model and a micro-level study that substantiates a model based on mainly quantitative macro-analyses of bond issues in early international bond markets.

[199] Stephen Fay, *The Collapse of Barings*, (New York, 1996), p.5.
[200] The Times of London, September 18, 1827, TDA.
[201] Ziegler, *Sixth*, pp. 105-106; Flandreau/Flores, *Reputation*, pp. 30-32.

VI. Conclusion

Using previously not analysed correspondence, accounts and personal papers on the intermediaries' history in archives in London, Boston and Ottawa, as well as further primary sources, this work highlighted a variety of insights on sovereign and sub-sovereign debt, the resolution of default crises and the role of financial intermediaries and their reputation.

On the one hand, it shed light on the extensive financial investment and high efforts undertaken by Barings in order to resolve the defaults in two critical states – Pennsylvania and Maryland. Though financially engaged in Maryland, it is argued that the main incentive for these actions was to preserve the firms' reputation as leading financial institution associated with the US. As Reginald McGrane already indicated in a side note: "The investors had purchased these securities upon the advice of their bankers; and if any of the states failed to meet their engagements, the bankers knew their own reputations would suffer".[202] Rothschilds' involvement, which was still noticeable, yet clearly below the level of Barings, provided a valuable counterpoint to the role of Barings. The involvement of Rothschild can be explained best by their perception of the crisis as an investment crunch, and not as a reputational one.

These empirical findings are in line with the theoretical model on reputational hierarchies of financial intermediaries developed by Flandreau and Flores, with Barings reputation as an explanatory factor for the higher involvement and engagement in the resolution of the defaults in Pennsylvania and Maryland. Thus, this paper combines the literature and research on the US state default crisis with the theoretical background of intermediaries' reputation in early bond markets, providing insights about the value of reputation and the role of private institutions in the resolution of sovereign defaults.

On the other hand, this dissertation emphasized the differences in the principal-agent relations between the two firms and their respective agents. These differences had a direct impact upon the strategies and involvement of the banks, leading to more coordinated and sustained efforts by Barings and Ward, compared to more insular actions by Rothschild and Belmont. Considering the further retreat of Rothschild from their American business thereafter until the late 19th century, these contributions on the history of the two houses become even more important.

Multiple new avenues for future research can be derived from the results in this paper. While it was focused on the lenders' perspective in the default settlements, the expectations by the borrowing sovereigns towards the financial intermediaries have been largely omitted due to the limited space. Yet considering the continued request for access to further liquidity by the federal

[202] McGrane, *Bondholders*, p. 48.

government and further states, a deeper understanding of the various borrowers' considerations, as undertaken by Moss and Grodzins for New York, would be enlightening.[203]

Other important topics could have only be briefly addressed and need further scrutiny, such as the influence of the crisis on the establishment of separate bondholder associations or the impact of domestic versus international debt on the default settlements in the states – issues directly related to ongoing debates.[204] Furthermore, as Flandreau and Flores recently affirmed the validity of their reputational model for the late 19th century, further micro-level studies on the impact of reputation on the considerations and efforts of Barings and Rothschild in the resolution of other sovereign defaults would be desirable to substantiate this claim.[205]

[203] See Moss/Grodzins, *Debt*.

[204] See i.e. Enrico Malluci, 'Domestic Debt and Sovereign Defaults', Board of Governors of the Federal Reserve System, *International Finance Discussion Papers* 1153 (2015).

[205] Flandreau/Flores, *Bondholders*, pp. 356-358.

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